# Mrunal's Mains Economy Pillar2CD: Subsidy, Disinvestment, Deficit

**Note: if any data-discrepancy = prelim HDT has more latest data. Though UPSC evaluator unlikely to nitpick over minor discrepancies, when evaluating mains papers**

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# 25 🍡 SUBSIDIES

- (Definition) A subsidy is a financial assistance provided by the government to support individuals/industries. It may be given in the form of cash, low interest loans, in-kind (e.g. shoes/textbooks) etc. (व्यक्तियों/उद्योगों को मदद देने के लिए सरकार द्वारा प्रदान की जाने वाली एक वित्तीय सहायता को सब्सिडी कहते है। यह नकद, कम ब्याज ऋण, वस्तु के रूप में दिया जा सकता है (जैसे जूते/पाठ्यपुस्तकें)

- (DATA) annually, government of India provides over ₹4 lakh crore rupees worth of subsidies. Majority of this goes to food, fertiliser and fuel.

## 25.1 SUBSIDIES: FREEBIES / REVDI CULTURE

⇒ (Definition) 'Freebie/ Revdi Culture' is a term used by PM Modi to denote the bad habit of political parties to announce freebies to win elections even if they are not financially sustainable. Supreme Court also criticised this & asked the union govt to take action. (वित्तीय रूप से वहनीय न हो, फिर भी मतदाताओं को रिझाने के लिए, चुनाव जीतने के लिए मुफ्त चीजें बांटने की संस्कृति के लिए प्रधानमंत्री ने रेवड़ी संस्कृति कार्य शब्द का उपयोग किया है. सुप्रीम कोर्ट ने भी चिंता जताई है.)

- (Origin) in recent years, increased tendency of political parties to promise variety of free goods/servies to voters in their election manifesto. E.g. free electricity for poor (Delhi, Punjab), free buspass for women (Karnataka); free mixer-grinder, fans, rice, laptop-tablet etc in some southern states.




### 25.1.1 PM Modi on Revdi Culture

- "Revdi / Freebies culture" is a "shortcut politics"
- Revdi culture will not build expressways, airports or defence corridors for you. (Government should spend on infrastructure)
- Revdi culture creates opportunities for corruption (in purchase of free goodies- mixer, grinder, laptop etc.)

### 25.1.2 Supreme Court on Revdi Culture

- Political party announcing freebies in the election manifesto = Voter's choice may be distorted / influenced = BUT it is NOT illegal under RPA Act.
- Difficult to expect that Parliament will elect a law against it because MP themselves need to win election (By promising REVDI)
- Even if election commission of India released a model election manifesto (without REVDI), still, it will be a formality/ paper exercise/ not really helpful. Because very easy for the political party to justify freebies in the name of DPSP (e.g. free bus passes for DPSP-women empowerment)
- Finance Commission, NITI, RBI should provide more inputs.

### 25.1.3 Economic Survey on Revdi Culture

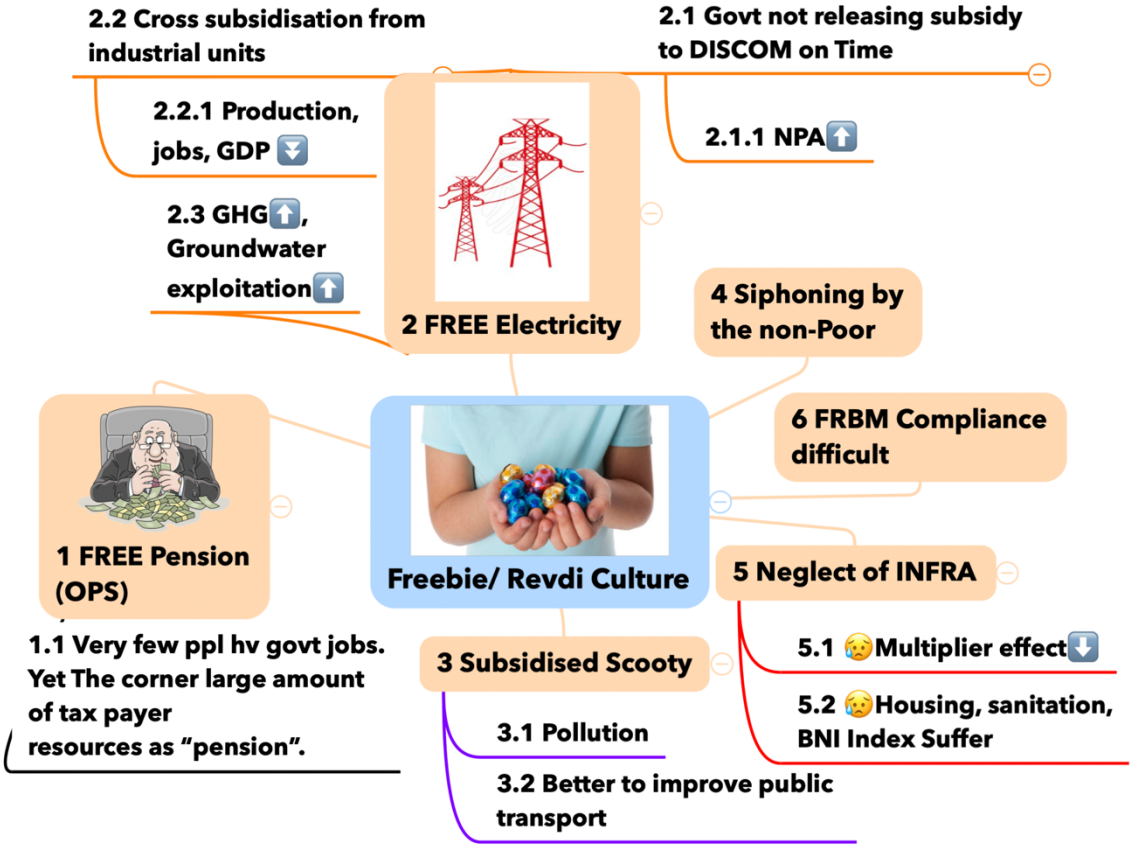
- Saliency bias: political parties focus on short-term things that can help winning next election. If quality of education or health care were to be improved it will take 12 to 15 years before result is felt by voter e.g. "I admitted my child in std1 of government school, he/she managed to crack IIT exam through Government school classroom study only. So I will vote for BJP/Congress (AFTER 12 YEARS from Now my child grows up)". Consequently, long-term investments usually receive lower priority than short term objectives.
- Revdi/freebies increases the revenue deficit. Money better spent on long-term asset creation.

### 25.1.4 🍡 ECI and CAG on Revdi culture




| Election commission of India (ECI) | Comptroller and Auditor General (CAG) |
|---|---|
| Asked political parties to issue disclosure on<br>1) How party will raise additional money to finance their election promises?<br>2) What will be its fiscal impact? | - Some state's repayment burden is so much that half of their budget will go only repaying. So Revdi is not sustainable.<br>- State govts' financial management will go haywire. They may come up with creative accounting methods like off- budget borrowing/extra budgetary resources (EBR) – *Refer to Prelims Handout.*<br>- In our future audit reports, we will red flag it. |

### 25.1.5 🍡 Revdi: Anti-argument mindmap




## 25.2 🍡👍 REVDI – ARGUMENTS IN FAVOUR

### 25.2.1 🍡👍 Poverty is increasing after Corona so need REVDI to help poor

World Bank report "Poverty and Shared Prosperity 2022"

| No. of people pushed into poverty after Corona | Amount in million |
|---|---|
| **World** | 71 million |
| **India** | 56 million |

- So if govt provides cash transfer, electricity, etc. to the poor people, it is required and justified.
- Most of the farming families monthly earn about ₹10,000 (NSO-2019). So they require free electricity for irrigation, subsidized urea etc.

### 25.2.2 🍾👍Minimum wages not rising faster than inflation so need REVDI to help poor

| | 2014 | 2022 | % increase from 2014-2022 |
|---|---|---|---|
| **Minimum wages for a skilled worker fixed by the Gujarat State govt** | ₹ 9,887 | ₹ 12,324 | 25% salary rise |
| **CPI All India Inflation** | 119 (Index number) | 164 | 37% inflation rise: $\frac{(164-119)}{119} * 100 = 37\%$ |

- Government employee protected against inflation through frequent increase in the dearness allowance (DA) (सरकारी कर्मियों को तो तनख़्वाह के ऊपर महँगाई भत्ता मिलता है)
- But for private sector / unorganized sector employees not protected against inflation, as evident from above table. (किन्तु ग़ैर सरकारी नौकरियों में, मज़दूर को न्यूनतम वेतन महँगाई के ख़िलाफ़ सुरक्षित नहीं रखता है.)
- It is difficult for political parties to increase the minimum wages because of a) pressure from the industrialist lobby who finance election campaigns. B) higher worker wages => higher product MRP = exports become uncompetitive. (राजनीति पक्षों के लिए निजी कंपनियों में न्यूनतम वेतन बढ़ाना मुश्किल, वरना नाराज़ उद्योगपति चुनाव फंड में पैसा नहीं देंगे; तथा उत्पादन ख़र्च भी बढ़ जाएगा।)
- So if government does not help poor with free electricity, food etc, their human development / Standard of living will be stunted/affected. (इसलिए न्यूनतम जीवन स्तर के लिए सरकार यदि मुफ़्त बिजली और भोजन देती है तो ये मानव विकास के लिए ज़रूरी है)
- Inflation in the fuel prices after Ukraine War: working women from lower middle class family is cannot afford to travel with Scooty every day so free/cheap bus pass required.

### 25.2.3 🍾 Bandaid necessary since permanent surgery not possible

| Problem | Permanent solution/surgery required | Band-aid solution |
|---|---|---|
| **Petrol inflation** | Reduce the high-level of taxes on petrol diesel. But not possible because of<br>1) direct tax collections weak. Only 2% voters IT-Payers<br>2) Union has to repay previous oil bonds so it needs money (Ref Prelims handout) | - Jharkhand government announces Rs 25 per litre subsidy petrol for 2 wheeler owner with ration card.<br>- Karnataka Free Bus passes for women |
| **Electricity inflation** | Increase the production, but very difficult to due issues with DISCOMMs (Ref Prelims handout) | Delhi and Punjab giving free electricity to poor |

### 25.2.4 Revdi Culture- Case Study- Maharashtra

- Under the Ladki Bahin scheme, the Maharashtra government provides Rs 1,500 per month to women, the following conditions met
- woman should not have a government employee as family member,
- woman should not own a four-wheeler. family income below ₹2.5 lakh annually

**Problems**:

- There are 2.47 crore beneficiaries costing ₹46,000 crore.
- 2026- 92 lakh ineligible beneficiaries removed, but they already took Rs 14,000 crore before payments were stopped. (अयोग्य लाभार्थीओ को भी पैसा चला गया)
- At least 2,200 state government women employees received ₹3.5 crore despite ineligibility.
- Some Maharashtrian women left the state after getting jobs or marriages, yet they continue receiving money, despite their husbands' families' incomes exceeding ₹2.50 lakh. Tracing migrants is challenging. (दूसरे राज्य में शिक्षा/नौकरी/शादी के बाद चली गई महिलाओं को भी पैसा दिया जा रहा है)

### 25.2.5 Revdi Culture- Case Study - Punjab

- received worst ranking in in the "Fiscal Health Index (FHI) of States" by NITI (2025-Jan)
- Its Debt sustainability is negative. Said NITI Aayog.
- Punjab's outstanding debt was more than 50% of its GDP, said RBI.
- 10% of state's budget to go towards power subsidies
- 300 units of free power to Poor households = ₹1,800 crore.
- State has paid 1.20 lakh cr subsidy in last 27 years for free electricity to farmers.
- Average monthly income of farmer in Punjab is more than ₹30,000. (2022–23)
- Pakistan's Punjab state imposes income tax on farmers with incomes exceeding six lakh rupees, while India's Punjab state has no income tax on farmers. (बड़े/संपन्न किसानो पे कृषि-आयकर लेना चाहिए)
- Big industrialists, transporters, liquor barons are diverting income from other business to show it as agricultural income for avoiding tax liability.

### 25.2.6 Case study: TN Populist budget against ₹11 lakh cr deficit (2026)

| Scheme 2026 | Allocation |
|---|---|
| **8-gram gold coin and a silk saree for brides** | ₹ 812 crore |
| **1-gram gold ring for every child born in a government hospital** | ₹ 560 crore |
| **Total Debt Burden of State (due to past, present govts)** | ₹ 11 Lakh cr |

### 25.2.7 Revdi Culture- Case Study - UK Education

- In Britain, college education is heavily subsidized for local populations.
- To compensate for financial losses, universities keep self-financed seats for foreign students.
- However, foreign student enrollment has decreased due to (1) Brexit (fewer EU students) and (2) anti-immigration sentiments, leading to stricter student visa rules.
- By 2025, one-third of colleges will have posted a deficit, and one in four will report a negative cash flow. (प्रवासी / भारतीय विधार्थीओ पे मोटी फ़ीस लेके ब्रिटिश विश्वविद्यालय स्थानिक विधार्थीओ को सस्ती शिक्षा देते)

### 25.2.8 🦅 Anti-Revdi Case Study- Musk's DOGE (2025)

- 2025 Department of Government Efficiency (DOGE) setup by President Trump and headed by business tycoon Elon musk.
- Promised to save $2 trillion a year, but barely managed to save 60–175 billion dollars.
- Saved taxpayers over $1bn in DEI [diversity, equity and inclusion] contracts (that's basically American version of reservation for the non-whites in government jobs and contracts.)
- Cutdown USAID funding to various nations.
- Critics argue that in Public Administration, every activity should not be viewed from the lens of business profit loss. For example. "*You get rid of food safety inspectors, you might get more food-borne illnesses. You cut aviation security officers, you might see more plane crashes. You make cuts to the Internal Revenue Service, maybe they won't collect as many taxes as they used to.*" *(सरकारी पैसा बचाने के लिए हर जगह सरकारी कर्मियो को नौकरी से हटाना जनता के स्वास्थ्य, सुरक्षा और सुशासन को नुकसान करता है)*
- Its high-handed and rash actions resulted in some goofs, like firing over 300 nuclear safety employees, but then rehiring them after realizing it could cause a national security problem if these experts were hired by Russia or China.

### 25.2.9 🦅 Anti-Revdi Case Study- Trump's big beautiful bill' (2025)

- Provide tax breaks to Americans. e.g. Americans making between $30,000 and $80,000 per year will see 15% decrease in taxes.
- Income tax exemption on purchasing car, but if only the car is made in USA.
- Increase funding for border fencing and military. Increase the fiscal deficit ceiling.
- Decrease the Social Security allowance. e.g. Non-PH childless adults required to work at least 80 hours per month.
- Food security for poor people restructured (1) Poor people need to prove they're working (घर बैठे मुफ़्त की रोटी नहीं तोड़ सकते हैं) (2) State Government also required to contribute money. (so anti-Trump States mein scheme may get discontinued)

**Criticism**

- Moody's removed US government bonds triple A rating due to higher fiscal decifit.
- Critics labelled "anti-Robin Hood Bill" because it gives more tax cuts to the rich while reducing government help to the poor.
- Even, long Time Trump supporter, Elon musk also became a critic due to higher fiscal decifit.

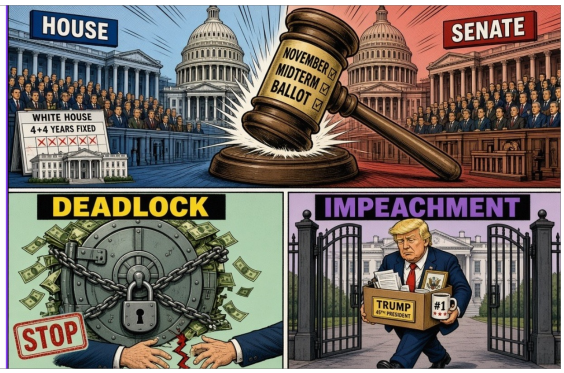
### 25.2.10 💼💸 Case study: Trump Dividend $5000 to voters if midterm won (2026)

- 2026: Trump: "If Republicans win both chambers in the midterm elections, every adult American gets $5,000. We'll call it the Trump Dividend."
- USA Constitutional setup: President's term fixed (4+4 yrs max), but midterms decide Congress control. If Republicans lose majority in Nov mid-term election then → budget-pass deadlock + impeachment risk for Trump — (मध्यावधि चुनाव में हारने पर बजट-रोक और महाभियोग का डर)

| Burden on USA Tax Payers | Amt as of Sep_2026 |
|---|---|
| **USA National Debt** | $40 trillion |

| Burden on USA Tax Payers | Amt as of Sep_2026 |
|---|---|
| **Iran War** | $2 trillion |
| **$5000 Trump Dividend to voters** | $1.3 trillion |




- Trump says dividend to be given from tariffs imposed on China, India etc but USA Supreme Court ruled most tariffs unlawful & ordered its refund (Feb 2026)
- President Biden's 2021 COVID relief: $1,400 per person resulted in demand-pull inflation. Trump dividend will do same — economists warn it's worse this time since inflation is already high after Iran war. (माँग-जनित मुद्रास्फीति)
- Ethical angle: Voter-reward/electoral bribing has become common, both for world's oldest democracy (USA) and world's largest democracy (India) — (मतदाता को रिश्वत देना अब विश्व के सबसे पुराने लोकतंत्र अमरीका और विश्व की सबसे बडे लोकतंत्र भारत - दोनों में आम बात हो चुकी है)

## 25.3 🪔 Subsidy reduction / Fiscal Prudence – How to?

| | |
|---|---|
| **Union's PAHAL LPG Subsidy** | - Those earning annually over 10 lakh rupees are excluded.<br>- After Corona, government has temporarily suspended giving the LPG subsidy even for the middle class family. |
| **Punjab FREE electricity** | - Government employees and Income Tax payers are excluded. |
| **Pension: PM Shram Yogi Maan-Dhan** | - Income Tax Payers are not eligible to join |
| **Fertilizer subsidy reduction** | - Refer to Pillar4A: AGRO |
| **Jammu Kashmir** | - Freeze on hiring new Government employees, buying new cars/AC for govt offices,<br>- no government programs in 5 star hotels. |

### 25.3.1 🪔 'Behavioural economics (व्यवहार अर्थशास्त्र)' to ↓ subsidy bill- said 📘📘 ES19

To ⏬Govt's subsidy burden: Above Poverty Line (APL: गरीबी रेखा से ऊपर) households shd be encouraged to voluntarily surrender LPG subsidies using following tools of Behavioural economics:

- ✓ People have a strong tendency to go with the status quo. So, 'Default ticked option' in LPG registration forms should be 'I wish to give up the subsidy', so a person will be 'forced' to untick the option to avail the subsidy benefit. (पंजीकरण फ़ॉर्म में ही डिफॉल्ट ऑप्शन चयनित हो कि मुझे सब्सिडी नहीं लेनी है)
- ✓ Similarly, income tax forms should contain extra-fields with pre-ticked options like 'I want to give up LPG subsidy'.
- ✓ The online /SMS-based 'subsidy giving up process' should be quick and hassle-free. It should not take more than a few minutes. Because every additional minute required to complete the formalities= increases the chances that person will drop out in the middle of the process. (यदि कोई व्यक्ति सब्सिडी छोड़ना चाहता है तो उसकी पंजीकरण प्रक्रिया बहुत ही आसान और त्वरित होनी चाहिए, जटिल नहीं होनी चाहिए)
- ✓ People act positively when they see others act positively, and particularly when they can relate to such individuals. So, online "scroll of honour" should show name/photos/social media-profiles of others in their area who gave up subsidies.
- ✓ Advertisements to highlight that "Rich people are helping in poverty removal by giving up subsidies."
- ✓ When people are watching a movie with social message (such as Padman, Toilet Ek Premkatha etc), it should contain ad asking people to give up full / partial subsidy. (फ़िल्मों के दौरान सामाजिक संदेश दिखानी चाहिए।)
- ✓ Once a person gives up subsidy, he should be shown the photos of poor people benefitting from his act / or a video with a beneficiary saying 'thank you'.




@Hindi-Medium-Mains candidates refer ES2018-19 Vol1 Ch.2 bullet 2.26 to 2.31 to get clean & formal vocabulary for answer writing.

### 25.3.2 Past Economic Surveys on subsidy delivery (आर्थिक सर्वेक्षणों के उपाय)

- ES2014: We should use **Jandhan Aadhar Mobile (JAM)** trinity to reduce the subsidy leakage.

- ES2015: Direct benefit transfer (DBT: प्रत्यक्ष लाभ हस्तांतरण) can't be a panacea in every case, because males of the house may waste DBT-money on liquor & tobacco. So, in some cases, **Biometrically Authenticated Physical Uptake (BAPU)** mechanism will be better i.e. beneficiary goes to a grain / fertilizer shop and uses his Aadhaar & fingerprint to purchase subsidized goods. (बॉयोमीट्रिक रूप से प्रमाणित करके लाभार्थी को वस्तु देना)

➢ ES2016: The present subsidy delivery mechanism suffers from two errors:

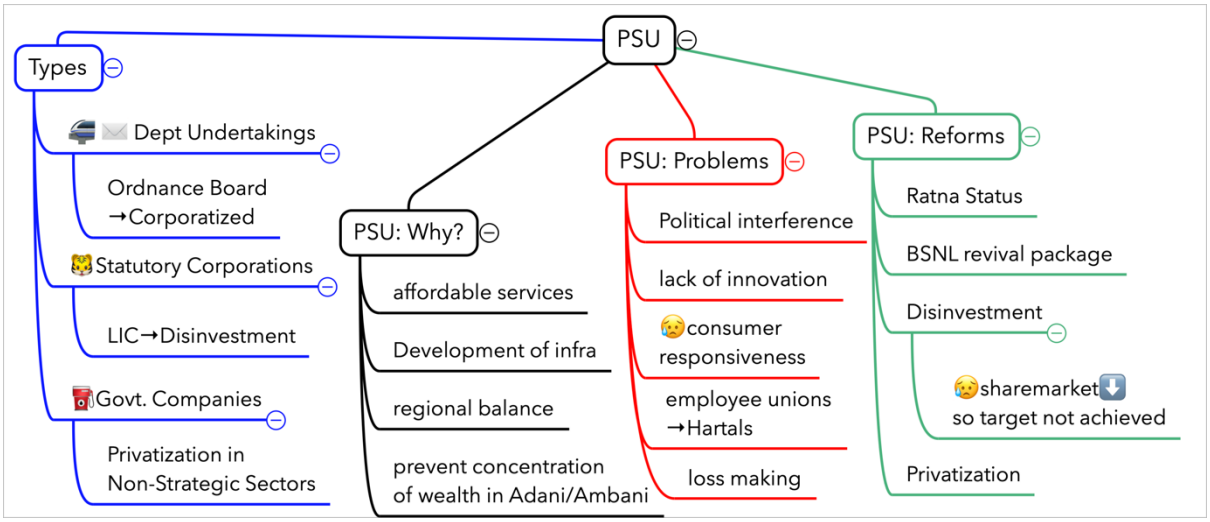
- **Inclusion Error (समावेश त्रुटि):** Non-poor (=affluent) are receiving ~40% of subsidies.
- **Exclusion Error (बहिष्करण त्रुटि):** real poor are not getting subsidies due to corruption

✓ So better to abolish all type of subsidies and directly deposit a specific sum of money into beneficiary's bank account to help him buy goods/services from open market = **Universal Basic Income** (सार्वत्रिक बुनियादी आय) (UBI): **More in Pillar#6.)**

### 25.3.3 Conclusion – Revdi Culture / Subsidies



# 26 👨‍💳♐👨‍💼 DISINVESTMENT: विनिवेश




More theory covered in Refer to Prelims Handout.

## 26.1 ☎️ BSNL BAILOUT PACKAGE / WHY NOT PRIVATIZED

Despite being a loss-making company, BSNL is not privatized for following reasons.

- Telecom has been identified as one of the strategic sector and therefore government aims to keep minimum one government company alive. So, Government will not privatise BSNL.
- Private sector telecom companies are not interested for rural penetration because rural customers' ARPU (average revenue per user) tends to be very low than city-dwellers. Proof? During the spectrum auction, private telecom companies have shown very little interest in purchasing 600-700 MHz spectrum (helps in rural areas).

**<u>BSNL revival efforts</u>**

1. Merged BSNL + MTNL
2. 2022: Govt gave ₹ 1.60 lakh cr package.
3. To reduce salary burden, BSNL staff strength reduced from 1.65 lakh to 65000 (2021) via
    a. a) VRS & (स्वैच्छिक सेवानिवृत्ति)
    b. b) reduction in fresh recruitment. (नई नौकरी में रोक /कटौती)

### 26.1.1 ✈️ Privatisation → ↑ profitability

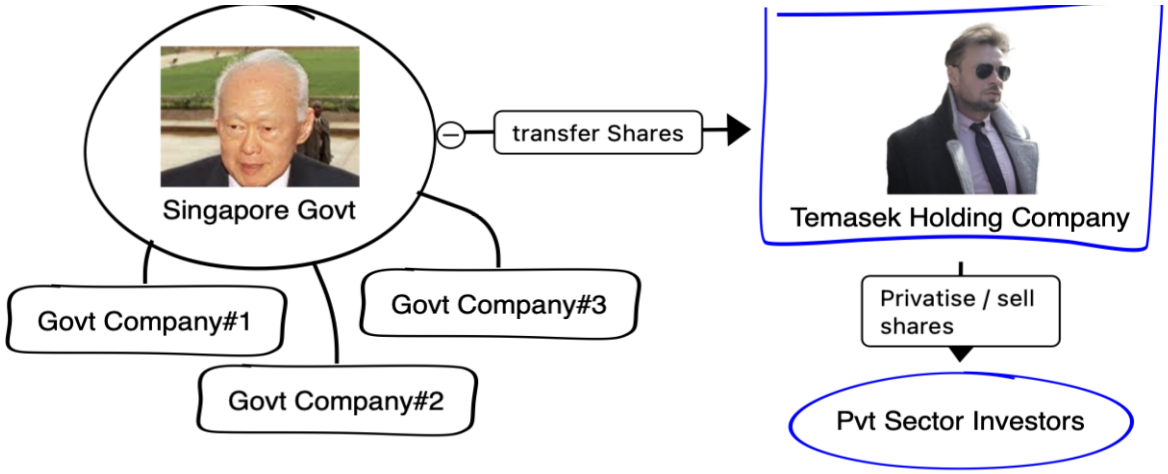


- In 1980s, **UK PM Mrs. Margaret Thatcher** started privatization of the Govt companies such as British Telecom, British Airways, water and electricity companies etc. → ↑ profitability & wealth creation for those companies. (निजी करण द्वारा धन सृजन)

- 📦📦ES20 analysed 11 Indian Govt companies that were privatized during BJP/NDA PM Atal Bihari Vajpayee tenure (1998-2004) such as Hindustan Zinc, Bharat Aluminium Company Ltd. (BALCO), Maruti Suzuki, Indian Petrochemicals Corporation Ltd. (IPCL), Modern Food India Ltd. (MFIL) etc. (वाजपेयी के ज़माने में कुछ सरकारी कंपनियों का निजीकरण हुआ था)
- After strategic disinvestment (=privatization) these Indian companies' sales, profitability etc. greatly ↑ because of: (ब्रिकी व मुनाफे मे अप्रतिम बढ़ोतरी)
- Technology Up-gradation (प्रौद्योगिकी उन्नयन)
- Efficient management practices by Private professionals. (कुशल प्रबंधन)
- 2023: after the privatisation of air India, the new owner Tata has placed order to purchase 500 aircraft from the western nations. It means that privatised air India is very optimistic about the future growth. This would not have been possible if air India was under government control. A minister / IAS heading in India would not have the initiative or financial flexibility to go out and purchase 500 new aircraft. (निजीकरण के बाद टाटा कंपनी ने एयर इंडिया के लिए पाँच सो हवाई जहाज़ ख़रीदने का ऑर्डर विदेशी कंपनियों को दिया है। यदि एयर इंडिया भारत सरकार के क़ब्ज़े में होती तो कभी कोई मंत्री या अफ़सर इतना बड़ा ऑर्डर देने का साहस नहीं कर पाता। क्योंकि बजट में इतना पैसा निकलना मुश्किल, ग़रीब कल्याण योजनाओं के चलते।)

✅ Thus, privatized PSUs help in economic growth & employment generation. (सरकारी कंपनियों का निजीकरण करने से आर्थिक वृद्धि और रोजगार निर्माण होता है इसलिए निजीकरण के प्रति घृणा की भावना नहीं होनी चाहिए।)

### 26.1.2 ✈️Privatisation ke liye → Adopt Singapore Model




1974: Singapore Govt set up a holding company "Temasek Holdings Company" (THC). Then the Govt transferred its shares of PSUs to THC → THC sold them in market → privatization complete.

⇒ Government of India has 264 CPSEs under 38 different Ministries/Departments. If each ministry tries for privatisation. It will result in suboptimal price realisation, because IAS officers do not have the skill set to do this. (यदि हरेक मंत्रालय अलग अलग / अकेले अकेले रहकर अपनी सरकारी कंपनियों के निजीकरण की कोशिश करे, तो उसे भी शायद अच्छा भाव /कीमत ना मिले।)

⇒ 📦📦 ES20 suggested, we should also create a Holding Company (नियंत्रक कंपनी) just like Singapore, for our strategic disinvestment (=privatization) drive.

⇒ **Benefits of Singapore Model?** Professionalism and autonomy (पेशेवर कुशलता और स्वायत्ता) to the disinvestment programme. Because If an individual ministry tried individual company's privatization then

- Ministry's (IAS) officers may not have network/experience for selling the shares @highest price. (सरकारी कंपनी के शेयर्स को सरकारी अफसर ऊँचे दाम पर को बेचने के लिए निवेशकों के पास गए तो असफल हो सकते हैं क्योंकि नेटवर्क और अनुभव की कमी)
- Internal resistance by employee unions. (कर्मचारी यूनियन का आंतरिक प्रतिरोध)

⇒ So, better let a separate holding-company look after this process.

### 26.1.3 👋🔨Conclusion – Disinvestment

After considering the arguments for and against disinvestment, we should stick with the government's current approach of minimal government and maximum governance. i.e. government should still retain control over a few companies in strategic sectors that are crucial for national development and security. But for the non-strategic sectors, government should let the private sector to handle the management. (फायदे और नुकसान का मूल्यांकन करते हुए वर्तमान सरकार की नीतियां उचित है की राष्ट्रीय विकास और सुरक्षा के लिए अति महत्वपूर्ण क्षेत्रों में सरकार की कुछ कंपनियां कार्यरत रहनी चाहिए. और बाकी सभी क्षेत्रों में सरकार ने संचालन निजी कंपनियों के हवाले कर देना चाहिए)

# 27 🤲 DEFICIT (घाटा)

- (Definition) Fiscal Deficit is the amount of money that Govt has to borrow, to fill up the gap /difference between total income and total expenditure. (जब सरकार की कुल आमदनी उसके कुल ख़र्च के मुक़ाबले कम होती है तो जितना पैसा सरकार दे कर्ज़ लेना पड़ेगा उसे राजकोषीय घाटा कहते हैं।)
- (Origin/DATA) Under FRBM act, 2003, Union govt is required to control the fiscal deficit within 3% of GDP. However, Corona and the subsequent economic slowdown aggravated the problem. Fiscal deficit remained in the range of approx 5-9% between 2020 to 2024.

| Year | FRBM Act 2003 | Corona & after (2020-24) | New Target 2026-27 |
|---|---|---|---|
| **Fiscal deficit** | 3% GDP | 5-9% annually | Below 4.3%<br>(it is 4.4% as per 👛 Budget-2025: ) |

### 27.1.1 🤲 Should we borrow more money in external currency?

Ans. No. Reasons given in Prelims Handout. (क्या विदेशों से विदेशी मुद्रा में हमने ज्यादा पैसा कर्जे में लेना चाहिए?)

## 27.2 🤲 RESOURCE MOBILISATION CHALLENGES

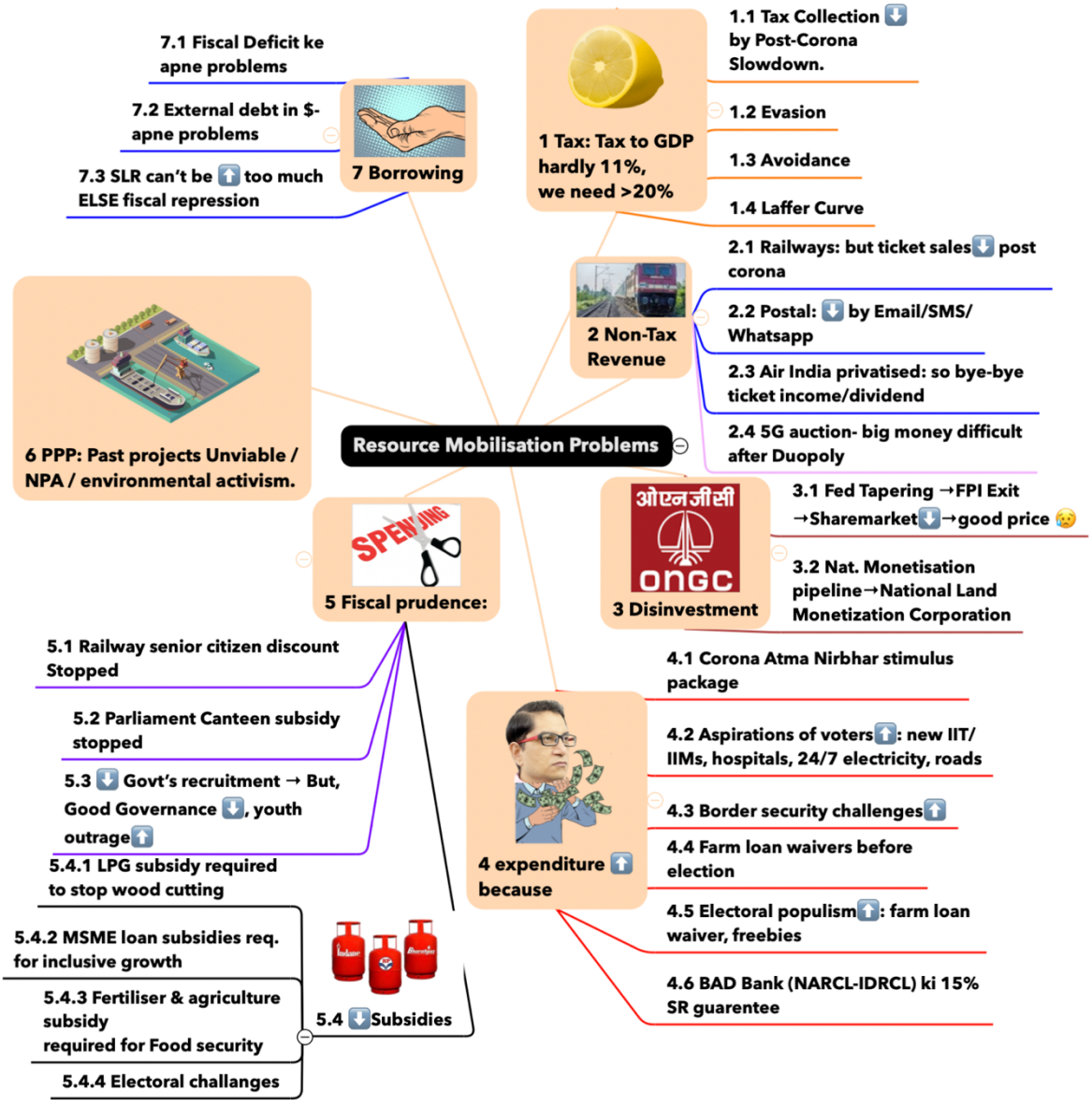
In the context of public finance, resource mobilization refers to the process of raising funds for government expenditure. This can be done through a variety of means, including taxation, borrowing, disinvestment, privatization, auctioning of natural resources, selling goods and services etc. (सरकारी व्यय के लिए धन जुटाने की प्रक्रिया संसाधन जुटाना कहते है। यह विभिन्न प्रकार के साधनों के माध्यम से किया जा सकता है, जिसमें कराधान, उधार, विनिवेश, निजीकरण, प्राकृतिक संसाधनों की नीलामी, माल और सेवाओं की बिक्री आदि शामिल हैं।)

But India faces many challenges (given in the mindmap above).

## 27.3 🤲 PUBLIC BORROWING'S EFFECT ON ECONOMY

**"Public Borrowing produces variety of effects on the economy." Examine. (PYQ-PubAD)**

(Origin) whenever the receipt / revenue is less than the expenditure, government has to borrow money. This is inevitable for India because our tax to GDP is hardly 12%, barely 2-3% voters are income tax payers. Consequently, our fiscal deficit has been in the range of 6-9% of GDP after corona for 3 years (2020, 2021, 2022.) Presently fallen in the range of 4%



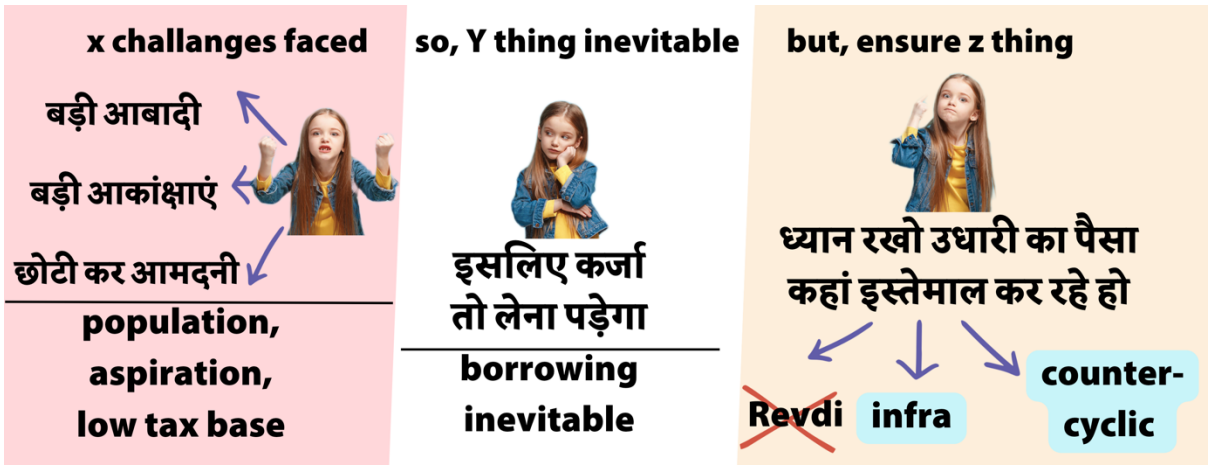

### 27.3.1 🤲 Effect of public borrowing: positive and negative

| Positive Effects of Public Borrowing | Negative Effects of Public Borrowing |
|---|---|
| - GDP growth (CIGXM). Increased borrowing = more government expenditure = GDP boost. | - Subdued demand / economic growth due to Ricardian equivalence. |
| - Countercyclical fiscal policy multiplier effect, job creation, infra creation. | - Crowding out of the private borrowers. |
| - Social safety net for the weaker section e.g. MGNREGA, unemployment allowance, pension and insurance, Shelter home for women in distress. | - Higher level of inflation, if there is not enough supply compared to the demand created through government expenditure. |

| Positive Effects of Public Borrowing | Negative Effects of Public Borrowing |
|---|---|
| - Law and order, national security, defense require a huge amount of money but seems our tax to GDP ratio is hardly 11%, so borrowing is inevitable. | - Rating downgrade by international agencies → FPI panic exit, negative impact on bond yields and currency exchange rate. |
| | Unsustainable debt on future generation, if borrowed money given for freebies /revdi. E.g. OPS (Old pension scheme) for Govt employees. |

### 27.3.2 🤲👋🔪Conclusion – public borrowing

India, being a large country with a big population and rising aspirations yet low tax:GDP, so it cannot avoid public borrowing. However, it is important to ensure that public borrowing is done in moderation and directed towards creating long-term capital assets. Public borrowing is particularly beneficial/required during times of economic slowdown through calibrated application of the counter cyclic fiscal policy. (भारत की आबादी बढ़ी है लोगों की आकांक्षाएं बढ़ी है लेकिन उसके मुक़ाबले कर आमदनी में बढ़ोतरी नहीं हुई इसलिए सरकारी ऋण को टाला नहीं जा सकता. हालाँकि सरकार ने यह सुनिश्चित करना चाहिए कि सरकारी ऋण का अधिक हिस्सा पूंजीगत निवेश में जाए, न कि रेवाड़ी देने में. तथा ऐसे सरकारी ऋण का प्रयोग /उपयोग आर्थिक मंदी के दौरान प्रति चक्रीय राजकोषीय नीति द्वारा देश कि अर्थव्यवस्था को पुनर्जीवित करने के प्रयास मैं किया जाए.)




## 27.4 🤲 Public Expenditure Management: Challenges

- **(Definition)** Public expenditure management deals with allocation of Govt's economic resources into three channels : सार्वजनिक व्यय प्रबंधन - आर्थिक संसाधनों का आवंटन करता है:
  - 1) Public Administration (लोक प्रशासन)
  - 2) Economic Development (आर्थिक विकास)
  - 3) Welfare Schemes (कल्याणकारी योजनाएँ)
- 1991: Liberalization, Privatization and Globalization **(LPG: उदारीकरण, निजीकरण और वैश्वीकरण)** reforms → then following challenges in management of public expenditure:

| Sector | Pre-LPG | Post-LPG-1991 (More in Pillar4: LPG) |
|---|---|---|
| **Banking: बासेल मानदंड: पुनः** | Nationalisation of banks, Basel norms less | Twin balance sheet syndrome, govt required to recapitalise the public sector banks because they |

| Sector | Pre-LPG | Post-LPG-1991 (More in Pillar4: LPG) |
|---|---|---|
| पूंजीकरण के लिए ढेर सारी रकम चाहिए | stringent. (More in Pillar#1B2) | cannot do it on their own → Financial burden ↑ |
| **Monetary Policy and Fiscal Policy**<br><br>**मौद्रिक नीति एवं राजकोषीय नीति** | High level of fiscal deficit.<br>RBI's monetary policy which mandated high level of SLR to finance Government's borrowing using bank depositors' money. | - Private Sectors Investment demand, consumerism has ↑ → RBI is forced to cut down the SLR to increase the loanable funds.<br>- Since high level of fiscal deficit was one of the reasons for BOP crisis, now Govt has statutory FRBM requirements to control fiscal deficit.<br>- RBI has statutory requirement to control inflation - So rampant borrowing from RBI is becoming difficult for government. |
| **Private sector**<br><br>**निजी क्षेत्र को निवेश में लाखों करोड़ों रुपए चाहिए →सरकार जनता की बचत का सारा पैसा कर्जे में ले लेगी, तो निजी क्षेत्र को पूंजी मिलेगी कैसे** | Share of private sector in India's economic growth and employment generation was limited due to the License Quota Inspector Raj. *(More in Pillar4)* | - Drastically ↑ .<br>- Private sector requires ₹20 lakh crores every year for sustaining the current level of Economic Growth & Employment generation<br>- Therefore, if govt does not control fiscal deficit → crowding out of the private investment = India's growth (although latest ES21 disagrees with this argument) |
| **PSU**<br>**सार्वजानिक क्षेत्र के उपक्रम, नुकसानी में चल रहे हैं तनख्वाह देने का भी पैसा नहीं** | Loss making public sector undertakings were supported by the Government as white elephant. | - Difficult to sustain the Public Sector Undertakings against the heavy competition of private sector be it Air India or BSNL.<br>- Govt unable to pay salaries, even no buyers for their privatization |
| **Infrastructure**<br><br>**बुनियादी अवसंरचना के लिए ढेर सारा पैसा चाहिए जो सरकार के पास नहीं** | Population was sparse. Most people didn't have access to TV, fridge, mobile, internet or social media<br>Their demand for electricity was low. | - Population has ↑<br>- Aspiration of people have ↑<br>- They want clean water, 24/7 electricity, good quality of roads;<br>- Lot of money required for infrastructure finance,<br>- Railway alone requires ₹50 lakh crore between 2016-30, Govt can't spend more than ₹1.6 lakh crore a year. |
| **Welfare**<br><br>**शिक्षा, अन्न और रोजगार की विभिन्न कल्याणकारी योजनाओं के लिए ढेर** | Right to education, right to food, right to work (MGNREGA) were not yet 'legal rights'. | - Now they have become legal rights so the govt is required to allocate large amount of funds<br>- Post-LPG era, the level of education and demand for various amenities, and even per capita income has increased, but that has not been a corresponding increase in our tax to |

| Sector | Pre-LPG | Post-LPG-1991 (More in Pillar4: LPG) |
|---|---|---|
| सारा पैसा चाहिए जो सरकार के पास नहीं | | GDP (11%, where as countries with similar growth have >20%). |
| **Public Administration** लोक प्रशासन और रक्षा के लिए सरकार ने बहुत लोगों को नौकरी → वेतन आयोग की सिफारिशों के हिसाब से मोटी मोटी तनख्वाह | Small size of Government staff<br>Their salary levels were also low. | - Public aspirations have ↑ , number of welfare schemes ↑ , Border Security challenges ↑ → employees have ↑<br>- 6th pay commission and 7th pay commission → salaries have ↑<br>- 😨Challenge? 'Contracting out of the jobs' to keep revenue deficit minimal. NPS where Employee himself is largely responsible for his pension etc. ⬇️vacancies in UPSC/SSC |
| **External** | Closed economy -बंध अर्थतंत्र- जो अब खुल चुका है अत: टैरिफ़ युद्ध, मध्य-पूर्व में अशांति, भुराजनीती का प्रभाव बढ़ा। | **Open economy** – trade and investment relations with whole world making us more vulnerable to tariff-wars, geopolitics, disturbance in middle-east. |

## 27.5 !? MAINS-PYQ-GSM2–2026-RIGHTS-BASED-WELFARE

Examine whether the constitutional mandate of rights-based welfare can be effectively realised amid non-integrated governance and minimal public investment. जांच कीजिए कि क्या अधिकार-आधारित कल्याण के संवैधानिक जनादेश को गैर-एकीकृत शासन और न्यूनतम सार्वजनिक निवेश के बीच प्रभावी ढंग से साकार किया जा सकता है। (15m, 250words, CSM'26)

### 27.5.1 ✍️ Intro

- (Origin) On January 26, 1950, the Indian Constitution came into full effect. Its Fundamental Rights and Directive Principles promise a wide range of rights and welfare for citizens.
- But our global rankings on health, hunger and human development show we are still far from this vision. (हालाँकि संविधान में बहुत सारे प्रावधान है किन्तु फिर भी वैश्विक सूचकांकों में स्वास्थ्य, पोषण, और मानव विकास में हमारा प्रदर्शन संतोषजनक नहीं।)

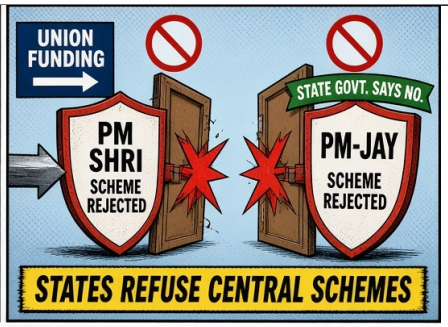
### 27.5.2 🏛️ Body 1 — Non-integrated governance ( गैर-एकीकृत शासन)

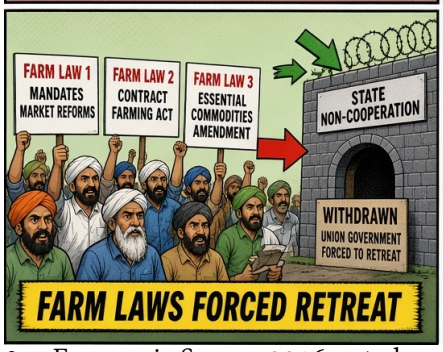
- Constitution provides three layers of governance — Union, State, local bodies.
- Different ruling parties at Centre and State often turn cooperative federalism into a fight.
- Many statutory and autonomous bodies have created areas of vacuum and legal grey zones.

| Rights-based welfare | Federal challenge |
|---|---|
| **Right to Education** शिक्षा का अधिकार | Kerala refused PM SHRI school scheme, citing "saffronisation" of syllabus. Union threatened to block funding. Similar fights over three-language formula, NEP. |
| **DPSP — raise nutrition levels** | NFSA gives 5kg free food. But leakages and poor allocation mean our Global Hunger Index rank hasn't improved. Centre and States blame each |

| | |
|---|---|
| **आहार सुरक्षा, कुपोषण** | other. वैश्विक सूचकांकों में कमज़ोर प्रदर्शन। |
| **DPSP — improve public health जन-स्वास्थ्य सुधार** | West Bengal, Punjab and other opposition-ruled states did not implement PM-JAY (₹5 lakh health cover). |
| **FR — freedom of trade; DPSP — decent living standard (अच्छा जीवन-स्तर)** | Politicised APMC mandis with many middlemen deny farmers fair price. Union tried three farm laws to fix this, but had to withdraw them after protests and state non-cooperation. (किसान को मंडी में सही रक़म नहीं मिलती।) |
| **FR — freedom of trade and commerce (व्यापार वाणिज्य का अधिकार)** | State highways and village roads fall under State/Panchayat control. Union funds them, but a fragmented chain of command lowers accountability. Result: blame-shifting over potholes. (सड़कों की ख़राब हालत, जवाब देही का अभाव।) |



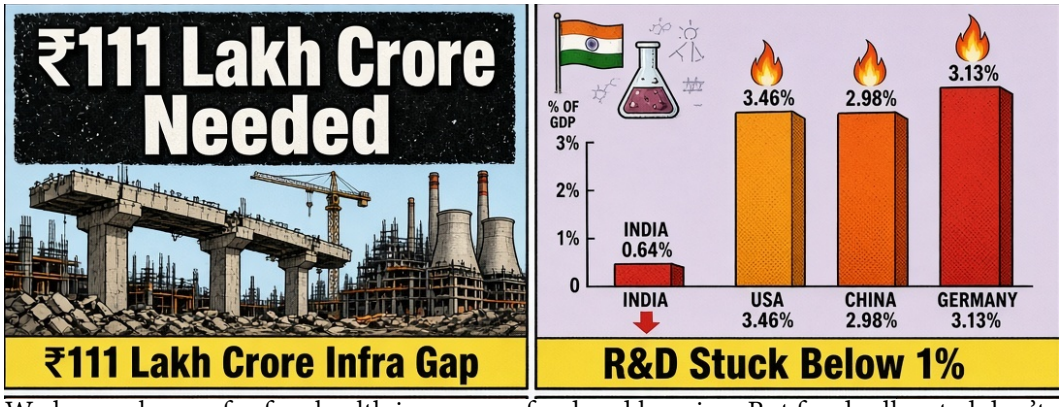




- Economic Survey 2016 noted an "aid curse" for special category states — decades of Planning Commission and Finance Commission funds, but poor administration & lack of accountability meant the money was siphoned off. (अनुदान का पैसा ही अभिशाप बन गया।)
- Consequently, Even after 75+ years of independence, these states still face the same poverty, hunger and poor infrastructure as in British times. (अंग्रेजों के ज़माने से चली आ रही वही समस्याए)
- To provide a coherent administrative structure from union to state, we have all-India civil services in the Constitution. But in recent years, there has been a lot of politicisation of services, instances where IAS/IPS are in cahoots with local corrupt leaders instead of following the directives of the union/constitution itself. (सरकारी बाबुओं का भ्रष्टाचार।)

### 27.5.3 💰 Body 2 — Insufficient public investment

- To become a developed country, we need at least ₹111 lakh crore in infrastructure investment. (बुनियादी अवसंरचना में भारी निवेश की ज़रूरत, तभी विकसित राष्ट्र बन पाएंगे।)
- National Infrastructure Pipeline needs Union, State and private sector to all contribute — hard to achieve amid COVID, Ukraine and Iran wars, and the resulting slowdown.
- R&D is key for healthcare, manufacturing and jobs. India spends under 1% of GDP on R&D, against 3% in other top-ten economies. (रिसर्च संशोधन में नगण्य /बहुत कम निवेश।)




- We have schemes for free health insurance, food and housing. But funds allocated don't match the actual number of poor. (जितने ग़रीब हैं उसके अनुपात में योजनाओं में पैसा नहीं दिया जा रहा है)
- NFSA (National food security act) links beneficiaries to Census data. But the 2021 Census is delayed till 2027, so beneficiary lists based on outdated numbers. (राष्ट्रीय खाद्य सुरक्षा क़ानून में गरीबों को मुफ़्त राशन से पहले नई जनगणना ज़रूरी. हम पुराने डेटा के हिसाब से ही राशन दे रहे हैं।)
- Saliency bias — politicians prefer short-term revdi (freebies) and farm loan waivers, since these win votes faster than long-gestation infrastructure projects. (चुनाव से पहले कृषि ऋण माफ़।)
- India's per capita electricity production and consumption is much lower than developed nations. Electricity is a key input for education and healthcare. (बिजली का कम उत्पादन।)
- SDG Goal#3 Health needs 550 health workers per 1,00,000 population. Many states are still well short, partly due to too few medical colleges. (स्वास्थ्यकर्मी, डॉक्टरों की कमी।)
- Govt has opened enough schools to reach near 100% Gross Enrolment Ratio at primary level. But quality of education is poor, as shown by Pratham's ASER reports. This needs investment — training teachers, better syllabus, and basics like benches, toilets, smart boards and tablets. (बच्चों का स्कूल में एडमिशन तो हो गया लेकिन सरकारी स्कूलों में ग़रीब विद्यार्थियों का शैक्षणिक प्रदर्शन बहुत कमज़ोर।)

### 27.5.4 ✍️ Conclusion (निष्कर्ष)

Indeed, both for SDG Goals and constitutional mandate of welfare, we need (i) a transparent and accountable administrative framework from the top to the bottom (ii) adequate financial resources. Only then we can achieve the goal of Viksit Bharat 2047 vision. (सतत् विकास लक्ष्य और संवैधानिक ज़िम्मेदारियों लिए एक जवाबदेह प्रशासनिक ढांचा और पर्याप्त वित्तीय संसाधन ज़रूरी है, तभी भारत एक विकसित राष्ट्र बन पाएगा।)

## 28 👐 Fiscal federalism (राजकोषीय संघवाद)

(Definition) Fiscal federalism refers to the division of fiscal responsibilities and financial powers between different levels of government within a federal system. Following are the problem areas in recent years: (एक संघीय प्रणाली के भीतर सरकार के विभिन्न स्तरों के बीच राजकोषीय जिम्मेदारियों और वित्तीय शक्तियों के विभाजन को राजकोषीय संघवाद कहते है.)

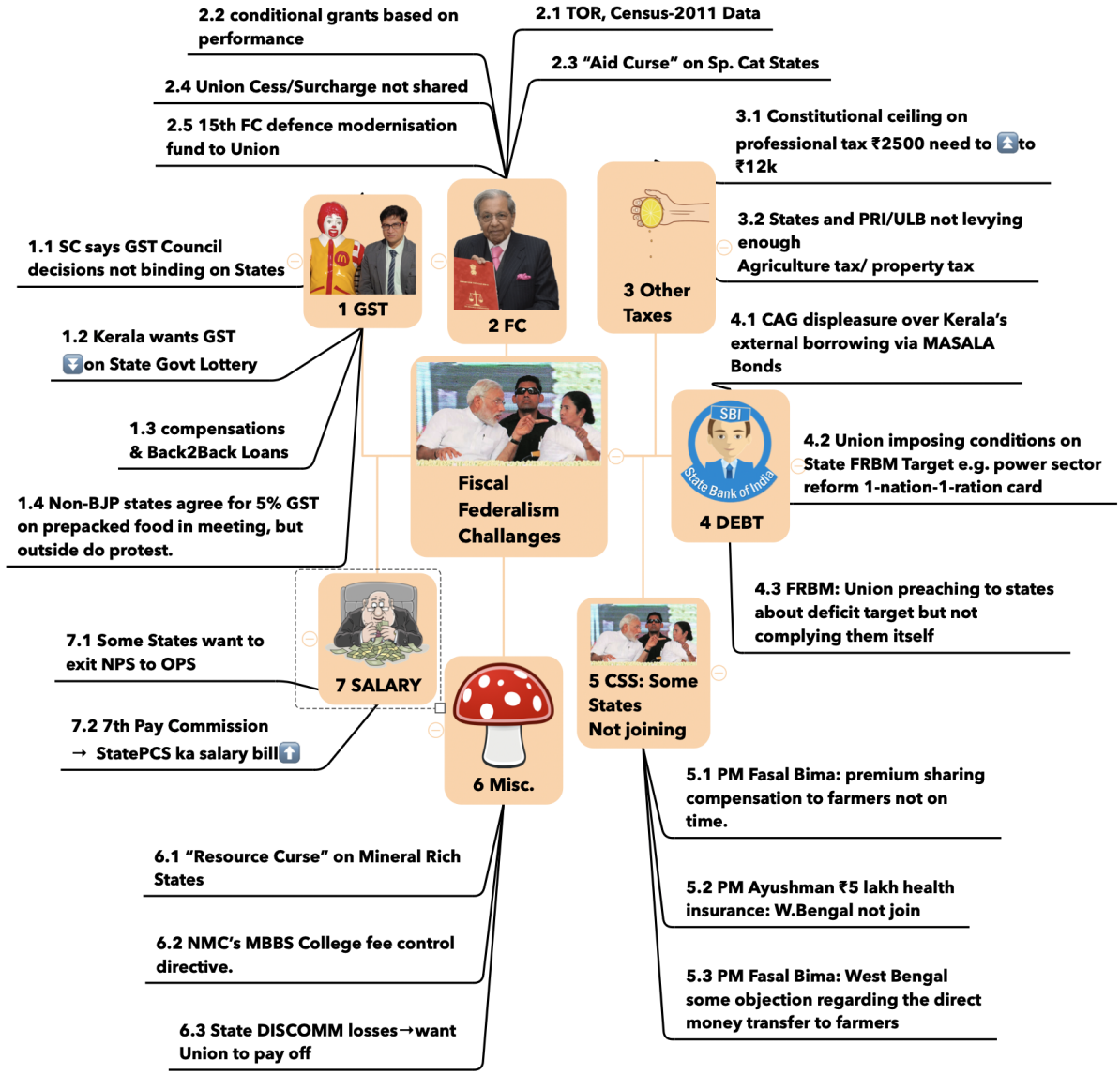
### 28.1 🍋(👨⚖️🐮🙏) Sp.Cat States ⟶ Economic Surveys criticised

What are special category states? Refer to Prelims Handout.

- 📦📦**Economic survey 2016-17:** Noted that Sp.Cat states have received lot of funds & grant from previous FCs and PCs, and yet they have not made any tangible progress in improving public administration or removing poverty (=" Aid Curse": सहायता का अभिशाप). Similar problem with the States having abundant mineral resources (="Resource Curse": खनिज संसाधनों का अभिशाप).

- **ES 2017-18:** Noted that compared to Brazil, Germany and other countries with federal polity, India's State Governments and Local Bodies are collecting less amount of tax for two reasons :
  - 1) Constitution has not given them sufficient taxation powers. (संविधानिक शक्तियां कम)
  - 2) Even where constitution gave them powers like collection of Agricultural Income Tax, Land Revenue, Property Tax: The States/Local Bodies are shy of collecting taxes due to electoral politics. (चुनावी लोकलुभावन के चलते सही माला में टैक्स नहीं वसूला)

😰**Result**? Poor quality of Public Schools, Public Transport, Police, Drinking Water and Sanitation. सार्वजनिक स्कूलों, परिवहन, पुलिस, पेयजल और स्वच्छता की खराब गुणवत्ता




### 28.1.1 😄Fiscal federalism → Positive steps taken by Union / Cooperative Federalism

- Frontloading of tax devolution to States in 2022. E.g. tax devolution money given in advance even before completion of the financial year. (वक़्त से पहले कर अंतरण का पैसा दिया.)
- Backtoback loans for GST compensation. (GST मुआवज़े के लिए लोन)

- Relaxation in the fiscal deficit limits for State govts (subject to certain terms and conditions given in Prelims handout) (राज्यों को राजकोषीय घाटा नियंत्रण सीमाओं में कुछ रियायतें दी.)
- Interest free loans for capital expenditure for 50 years. (50 वर्षों की अवधि के लिए ब्याज मुक्त कर्ज़ दिया जाएगा पूंजीगत ख़र्च / बुनियादी अवसंरचना निर्माण के लिए.)
- Large amount of grants given by Finance commission, and under various centrally sponsored schemes (CSS) by the Finance Ministry. (वित् आयोग ने बड़ी मात्रा में अनुदान में पैसा दिया, तथा सरकारी योजनाओं में भी ढेर सारा पैसा दिया जाता है.)

### 28.1.2 👋📣Conclusion- Fiscal Federalism (निष्कर्ष)

India is a very big country, both in terms of geographical size and population. The union alone cannot administer it without the state administrative machinery. Parallelly, the state governments cannot function without the financial support of the union. Therefore, economic growth and human development in India necessitate cooperation and collaborative action from both the union and the states. (भौगोलिक आकार और जनसंख्या दोनों ही दृष्टि से भारत एक बहुत बड़ा देश है। राज्य प्रशासनिक तंत्र के बिना संघ अकेले इसका प्रशासन नहीं कर सकता। समानांतर रूप से, राज्य सरकारें संघ की वित्तीय सहायता के बिना कार्य नहीं कर सकती हैं। इसलिए, भारत में आर्थिक विकास और मानव विकास के लिए संघ और राज्यों दोनों के सहयोग और सहयोगात्मक कार्रवाई जरुरी.)

## 28.2 ⚔️🤲 Combative Federalism: Keralam Financial crisis (झगड़ालू संघवाद)

- (Origin) In 2024, the Keralam State Government faced financial difficulties and sought to borrow an additional ₹24,000 crore before 31/3/2024.
- However, the Union Govt, using Article 293, prohibited Keralam from borrowing without its consent due to existing loans. Keralam appealed to the Supreme Court: (अनुच्छेद २९३ के तहत राज्य सरकार बिना केंद्र की अनुमति के बाज़ार से कर्ज़ा नहीं ले सकता। और केन्द्र केरल राज्य की कर्ज़ सीमा को बढ़ा नहीं रहा)

| Kerala's argument in SC | Union's defense in SC |
|---|---|
| Fiscal decentralization is a key aspect of Indian federalism, so imposing borrowing ceilings on states by the Union violates federal principles. (वित्तीय विकेंद्रीकरण भारतीय संघवाद का अभिन्न अंग, जिसका केंद्र उल्लंघन कर रहा हैं) | Keralam had a long history of fiscal deficit due to lack fiscal management/lack of fiscal discipline. If we (Union) allow Keralam to borrow more money, it will negatively affect the sovereign credit rating of the whole India. (केरल राज्य सरकार में वित्तीय प्रबंधन अनुशासन का अभाव।) |
| Reserve Bank of India is the "public debt manager". So Union imposing debt limits on State is a violation of RBI Act | In recent years, the successive finance commissions have increased the tax devolution from 32% to 41%. So already Keralam is getting more money than in the past. (वित् आयोग ने पैसे भी उनको पहले से ज़्यादा पैसा दिया है।) |
| We are unable to pay salaries, pensions. | |
| State government should be allowed to fix its own borrowing limits | |

| Kerala's argument in SC | Union's defense in SC |
|---|---|
| Yes we are overspending due to investments in critical sectors like health and education- which has improved Kerala's human development indices. | |

### 28.2.1 ⚔️✋ Reasons for Kerala's Financial Crisis

- Decline in GST income post-COVID-19.
- State's Lottery income dropped from ~₹9000 cr (2017) to ~₹5000 cr (2020)due to competition from online betting/gambling apps.

### 28.2.2 ⚔️✋ Keralam Model: Overstaffing Problem (वेतन बोज)

| 2018-19 | Gujarat | Kerala |
|---|---|---|
| **Govt. Employees in lakhs** | 4.65 | 5.15 |
| **Total Population in lakhs** | 639 | 349 |
| **Ratio** | ~7 Govt employees per 1000 population | ~15 Govt employees per 1000 population |

- 48% of Kerala's revenue expenditure goes to salaries and pensions.
- Allegations of ruling party workers being appointed as personal assistants and later receiving lifelong pensions under OPS. (Old Pension Scheme)

### 28.2.3 ⚔️✋ Keralam Model: Demographic Changes & Impact on State Exchequer

- Increased life expectancy of retirees raised the state's OPS pension burden. (जीवन प्रत्याशा/आयु - संभावना बढ़ने के चलते पुरानी पेंशन प्रणाली के सरकारी कर्मियों का पेंशन बोज।)
- Changing age composition & fall in Total Fertility rates = Keralam needs more college teachers than primary school teachers. - But overstaffing in primary schools → salary-outcome mismatch. (प्राथमिक विद्यालयों में बच्चों की संख्या कम हो रही है लेकिन ज़रूरत से ज़्यादा लोगों को नौकरी पर रखा है उसे वित्तीय बोझ।)

### 28.2.4 ⚔️✋ Keralam Model: Welfare Schemes

- Higher per capita spending on welfare schemes than other states. (कल्याणकारी योजनाओं में अन्य राज्यों के मुक़ाबले ज़्यादा पैसा ख़र्च किया जा रहा है)

### 28.2.5 👩‍⚖️⚔️✋ Judgement of Supreme Court on Keralam financial crisis

- Kerala's financial hardship stems from its own mismanagement.
- The Union is not responsible for Kerala's difficulties.
- We (SC) cannot grant interim relief to Keralam as it may set a bad precedent → This could lead other states to ignore fiscal policies and still seek additional borrowings= moral hazard.
- However, we are referring the questions about Article 293 to the five-judge Constitutional Bench.(सुप्रीम कोर्ट ने पाया कि केरला कि वित्तीय समस्या के लिए वो स्वयं ज़िम्मेदार है केंद्र सरकार ज़िम्मेदार नहीं है इसलिए

केरेन को अभी कोई छूट नहीं दी जा सकती है वरना एसी रियायत /छूट् अन्य राज्यों को भी वित्तीय प्रबंधन में आलसी/बेशिस्त बना देगी, ऐसा नैतिक जोखिम है।)

### 28.2.6 ✍️⚔️🤲 Conclusion: Keralam financial crisis (निष्कर्ष)

| Template | Sentences |
|---|---|
| **X thing imp** | Post-corona world with high inflation and economic hardships for the poor. → State government must invest significantly to improve (1) public administration and (2) human development indicators.<br>(कोरोना पश्चात बढ़ी महँगाई और ग़रीबो पे आर्थिक संकट के चलते राज्य सरकारों ने लोक प्रशासन और मानव विकास के लिए पहले से ज़्यादा पैसा ख़र्च करना पड़ेगा।) |
| **Y thing creating problem (ये चीज़ें समस्या खड़ी कर रही है।)** | fall in revenue receipts versus increased burden of salary and pensions.<br>Borrowing limits imposed by Union<br>Growing aspirations of the people versus limited fiscal resources of the State.<br>(किन्तु घटते हुए राजस्व आमदनी बनाम बढ़ते हुए वेतन पेंशन के बोझ, केंद्र सरकार द्वारा लागू की गई ऋण सीमा, लोगों की बल्कि आकांक्षाएं बनाम सरकार की कमज़ोर वित्तीय स्थिति) |
| **Z thing need of the hour** | It is essential to balance income and expenditure to avoid a fiscal crisis while pursuing welfare initiatives.(आमदनी और ख़र्च के बीच एक संतुलन ज़रूरी ताकि कल्याणकारी क़दम उठाते वक़्त वित्तीय संकट ना आ जाए।) |

## 28.3 💰🚚 Special category Status (SCS: विशेष श्रेणी का दर्जा)

- 1969: National development Council (NDC, the governing body of Planning Commission) gave the concept of special category status/states (SCS) & gave them extra funds using Gadgil formula (योजना आयोग और उसके ऊपर आसीन राष्ट्रीय विकास परिषद विशेष श्रेणी के राज्यों की परिभाषा देता है। और उन्हें गड्गील फ़ॉर्मूला के तहत अतिरिक्त अनुदान दिए जाते हैं।)
- 1969: 5th Finance Commission recommended also extra funds for special category states (SCS) for the first time. (पाँच वें वित् आयोग ने भी यह काम चालू किया।)
- 5 qualifying factors to become SCS granting of SCS —(1) a majority tribal population,(2) low density of population, (3) hilly States and close to international borders, (4) States that have socio-economic and industrial backwardness, and (5) lack of adequate State finances. (अनुसूचित जनजाति की आबादी, आबादी-घनत्व, दुर्गम विस्तार, आर्थिक/सामाजिक/औद्योगिक पिछड़ापन और कमज़ोर वित्तीय क्षमता जैसे पैमानों पर यह दर्जा दिया जाता है।)
- e.g. Arunachal Pradesh, Assam, Himachal Pradesh, Jammu and Kashmir, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim, Tripura, Uttarakhand and Telangana.

### 28.3.1 💰🚚 Benefits given to a SCS (विशेष श्रेणी राज्यों को क्या फ़ायदे मिलते हैं)

- Union bears higher burden for Central sponsored schemes.e.g. 90:10 | 80:20 (केंद्र द्वारा प्रायोजित योजनाओं में वित् पोषण का अधिक हिस्सा केंद्र सरकार भरेगा।)
- Union gives tax-benefits/subsidies to industrialists for setting factories in SCS → helps attracting more industries, & job creation. (ऐसे राज्यों में फ़ैक्टरी लगाने के लिए उद्योगपतियों को केंद्र द्वारा टैक्स माफ़ी और सब्सिडी दी जाती है। जिसके चलते ऐसे राज्यों में रोज़गार के अवसर बढ़ते।)



### 28.3.2 💰🚚 SCS: Coalition Politics & fiscal federalism (गठबंधन सरकार और वित्तीय संघवाद)

- In 2024-Lok Sabha election, the BJP/Modi government needed coalition partners Janata Dal (United) of Bihar and the Telugu Desam Party of Andhra Pradesh - to Govt at the union.
- Consequently, there's speculation these states ruled by JDU & TDP might receive special status, discretionary grants, or special packages.
- Critics argue this undermines fair fiscal distribution if election outcomes influence national resource allocation.
- The 15th Finance Commission has already submitted tax-devolution formula/grants without considering SCS-factor. And 16th Commission's report is pending.
- Bypassing the finance commission for coalition political reasons would be unfair to other states not in the coalition. (क्योंकि केंद्र में BJP की सरकार बिहार के सत्ता पक्ष JDU और आँध्र की सत्ता पक्ष तेलुगू देशम पार्टी के गठबंधन से बनी है, इसलिए इन राज्यों को विशेष श्रेणी राज्य का दर्जा/ कोई ख़ास वित्तीय पैकेज दिया जाएगा- ऐसी आकलन लगाए जा रहे हैं। आलोचना: अगर चुनाव का परिणाम और गठबंधन के गणित ही यदि वित्तीय संसाधनों का वितरण तय करें,गे तो ये अन्य राज्यों के साथ नाइंसाफ़ी है।)

### 28.3.3 💰🚚 SCS to Andhra- argument favour / against (क्या आँध्र को यह दर्जा मिले?)

| Arguments in Favour (पक्ष में तर्क) | Against (विपक्ष में) |
|---|---|
| • 2014: After bifurcation, Telangana was given SCS Status but Andhra was not given.<br>• Hyderabad and its IT-Pharma industry were given to Telangana, so the tax collection for Andhra has fallen greatly.<br>• Andhra needs extra funds for the development of a new greenfield capital at Amaravati. | No mention of giving a Special Category Status (SCS) to Andhra Pradesh in the Andhra Pradesh Reorganisation Act, 2014. (आँध्र प्रदेश के पुनर्गठन क़ानून में इस बात का कोई उल्लेख या ज़िक्र नहीं।) |
| N.K. Singh, Chairman of the 15th FC, said *"it was up to the Union Government to take a call."* | The 14th and 15th finance commissions have stopped giving extra weightage to SCS. |
| The planning commission & national development council used to give extra funds to special category states. | PC & NDC are replaced by NITI Aayog and its governing council. NITI has **not** recommended the continuation of the SCS system. |
| तेलंगाना के विभाजन के बाद जो वित्तीय नुक़सान हो रही है उसकी भरपाई के लिए यह ज़रूरी। वित्त आयोग ने ये सरकार पे छोड़ा है। | चौदहवीं और पंद्रहवीं वित् आयोग ने यह प्रणाली बंद कर दी है। इस प्रकार का अतिरिक्त पैसा अभिशाप का काम करता है। |

### 28.3.4 ✍️ Conclusion: Andhra-SCS

- Observe Bihar-conclusion given in next section and do self-mental effort accordingly.

## 28.4 💰🚚 SCS TO BIHAR- ARGUMENT FAVOUR / AGAINST (क्या बिहार को यह दर्जा मिले?)

| Arguments in Favour (पक्ष में तर्क) | Against (विपक्ष में) |
|---|---|
| Economic backwardness. Bihar's per capita income of around ₹60,000 is among the lowest in the country, and the State lags behind the national average in several human development indicators as well. | For decades, the Planning Commission gave extra grants to Bihar under the Gadgil formula, yet it suffered slow growth and high poverty levels due to corruption and poor rule of law that discouraged investments. Giving more funds is unlikely to fix it. |
| Separation of Jharkhand has decreased Bihar's income from mining. | In recent years, the FC increased tax devolution from 32% to 41%. |
| Frequent floods/natural disasters have prevented growth in agricultural activities. | Granting special category status to one State will encourage others to demand the same from the Centre. It can encourage competitive populism, which can lead to a worsening of the Centre's finances. |
| Demand based on economic backwardness is very well justified. The State government needs more funds to spend on welfare projects to uplift the poor and to invest in boosting the State's infrastructure. | Extra funds to poorer States will be incentivising their bad policies and penalising more developed States which have adopted better policies = Moral hazard. |
| झारखंड के विभाजन के बाद जो हमें आर्थिक नुक़सान हुआ है। वार्षिक रूप से बाढ़ और प्राकृतिक आपदाएँ आती है। ग़रीबी और पिछड़ापन है। इसलिए हमे ये दर्जा मिलना चाहिए। | इतने दशकों से जो पैसा मिला फिर भी आर्थिक विकास नहीं हो पाया उसका कारण है क़ानून व्यवस्था का अभाव, भ्रष्टाचार और कुशासन। अगर फिर भी अतिरिक्त पैसा देते रहेंगे, तो यह अन्य राज्यों के साथ नाइंसाफी होगी। |

### 28.4.1 ✍️💰🚚 Bihar-Conclusion: short term remedy = NOT panacea

- While SCS status/special economic package might offer Bihar some short-term relief, its long-term economic prospects will depend on the State's ability to further strengthen good governance and rule of law. (एक छोटी/लघु-अवधि की दवाई है रामबाण नहीं। जब तक बिहार अपनी सुशासन और क़ानून व्यवस्था बहतर नहीं करेगा तब तक दीर्घावधि में उसकी आर्थिक स्थिति बेहतर नहीं होगी।)
- The 15th Finance Commission has already submitted the tax-devolution formula/grants without considering the SCS factor, and the 16th Commission's report is pending. (15वे वित् आयोग ने दिया नहीं है। सोलहवीं की रिपोर्ट आनी बाक़ी है।)
- Bypassing the finance commission to give SCS/grants to a particular state for coalition politics would be unfair to other states not in the coalition. (अगर वित् आयोग की सिफ़ारिशों को नज़रअंदाज़ करके इस प्रकार का कोई दर्जा या अतिरिक्त पैसा दिया जाएगा तो ये अन्य राज्यों के लिए नाइंसाफी होगी, जिनकी राज्य सरकारों के सत्ता पक्ष केंद्र के साथ गठबंधन सरकार में नहीं है।)

## 28.5 ✍ PYQ25-FISCAL FEDERALISM - IMPACT OF REFORMS

GSM2–2025-Q14: Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India? भारत में नियोजित विकास के संदर्भ में केन्द्र-राज्य वित्तीय संबंधों के विकसित हो रहे स्वरूप (पैटर्न) का परीक्षण कीजिए। हाल के सुधारों ने भारत में राजकोषीय संघवाद को कितना प्रभावित किया है? (250 words)

### 28.5.1 ✍ Intro

- Fiscal federalism in India manages how money is shared between the central government and states. (केंद्र और राज्यों के बीच पैसों का आवंटन, और वित्तीय संबंध)
- The Constitution sets up the Finance Commission (FC) to guide fund transfers through tax shares and grants, while the center controls state borrowing limits. (संविधान में एक वित् आयोग जोकर और अनुदान देखता है। केंद्र राज्यों की कर्ज़ सीमाओं को बाँधता है।)
- States get funds from the center in four ways: tax devolution, grants-in-aid, centrally sponsored schemes, and loans. (कर अंतरण,अनुदान, केंद्र द्वारा प्रायोजित योजनाएं और कर्ज़।)

### 28.5.2 ✍ Body: impact of recent reforms

Note: positive negative depends on point of view of a FM, citizen, economists, CM of the Opposition ruled State govt. So how much you want to elaborate, depends on the word limit.

| Reform | Positive/negative (सकारात्मक नकारात्मक।) |
|---|---|
| **NITI replaced Planning Commission (योजना आयोग की जगह नीति आयोग जो विशेष श्रेणी के राज्यों को कोई ज़्यादा पैसा नहीं देता।)** | • Planning Commission grants have stopped, making Sp.Cat states unhappy.<br>• NITI accountability framework and ranking system for various schemes and fiscal deficit |
| **15th FC (वित् आयोग ने भी विशेष श्रेणी के राज्यों को ज़्यादा पैसा नहीं दिया।)** | • Some states unhappy for No extra weightage for sp.cat states.<br>• performance-linked grants.<br>• Cess-surcharge not shared with States.<br>• population as a parameter for funds, makes South states unhappy.<br>• grants linked to PM-Modi's pet schemes (e.g. SBM), whereas Keralam wants full freedom in how it can use the money.<br>• FC gave separate fund to Union for defence modernisation. |
| **GST (GST मुआवजे को लेके राज्यों में नाराज़गी।)** | • One nation, one market. States though remain unhappy for compensation, especially after Corona. Southern states want lower GST on State-sponsored lotteries. |
| **FRBM Act (केरला को ज़्यादा पैसा कर्ज़ में लेना है।)** | • Keralam breached limit, went to Supreme Court.<br>• Punjab huge debt, it wants Union to give extra loans. |
| **SC judgements (सुप्रीम कोर्ट ने राज्यों की कराधान सत्ताओं के बारे में कुछ फ़ैसले जो लिए।)** | • Supreme Court's recent rules related to state government's rights to impose separate taxes on industrial alcohol and mining have caused discomfort for the Union |
| **CSS / Schemes (सरकारी** | • Union stopped the PM-SHRI School upgradation funds to |

| | |
|---|---|
| **योजनाओं के वित्तपोषण के विवाद।)** | Tamil Nadu because Tamil Nadu is not imposing the three-language formula.<br>• West Bengal not implementing PM-JAY Health Insurance due to conflict over naming after PM. |
| **JK Art.370 (जम्मू कश्मीर को योजना में ज़्यादा वित्त-बोज ढोना पड़ता है)** | • Jammu and Kashmir reduced from full state to a Delhi-like UT. So instead of 90:10 it gets 60:40 funding causing resentment.<br>• Furthermore, removal of full statehood means FC tax devolution formula does not apply to J&K. Money transfer depends on the discretion of the finance ministry. |
| **Revdi/Freebies, Farm-debt-waiver by States (राज्य सरकारों की रेवड़ियो के ख़िलाफ़ केंद्र सरकार अक्षम।)** | • While Economic Surveys expressed displeasure, the Union seems to be lacking the power to control this at present. |

many more aspects, but already I've given u enough to cross 250 word limit easily.

✍ **Conclusion:**

- Purely from economic benchmarks: fiscal deficit is controlled, poverty is removed, and GDP is improved with these reforms.
- From union point of view: more accountability for the funds.
- From states point of view: reducing our financial freedom/independence. Unnecessary imposition of the union's economic vision.
- Need of the hour is - more collaborative approach to be 5 trillion GDP / 3rd largest economy/ 2047 visit Bharat. (केवल वित्तीय मानदंडों के हिसाब से विभिन्न सुधारों द्वारा राजकोषीय घाटा कम हुआ है ग़रीबी कम हुई है और GDP में वृद्धि। केंद्र के हिसाब से योजनाओं के पैसों की जवाब देही बढ़ी है। राज्यों की शिकायत की उनकी आर्थिक स्वतंत्रता कम हुई है। इन सभी आयामों के बीच, एक विकसित देश बनने के लिए केंद्र और राज्य दोनों के बीच सहयोग की आवश्यकता है।)

**Common mistakes**

- too much coverage of the 15 finance commission report is not required. You have to bring diversity and variety to the arguments instead of making it centered on FC only.

## 28.6 PYQ25-FISCAL FEDERALISM - FISCAL HEALTH INDEX

GSM3–2025-Q11: Explain how the Fiscal Health Index (FHI) can be used as a tool for assessing the fiscal performance of states in India. In what way would it encourage the states to adopt prudent and sustainable fiscal policies? समझाइए कि किस प्रकार राजकोषीय स्वास्थ्य सूचकांक (एफ एच आई) भारत में राज्यों के राजकोषीय प्रदर्शन के आकलन के उपकरण के रूप में प्रयोग किया जा सकता है। किस प्रकार यह राज्यों को विवेकपूर्ण तथा संपोषणीय राजकोषीय नीतियों को अपनाने के लिए प्रोत्साहित करेगा ? (250 words)

**Intro**

- (Origin) 2025-NITI Aayog released first ever Fiscal Health Index (FIH) report
- (Data) Odisha and Punjab secured the best and the worst ranks, respectively.

### 28.6.1 Body1: FIH for assessing the fiscal performance

- FIH has five major sub-indices viz, quality of expenditure, revenue mobilisation, fiscal prudence, debt index, and debt sustainability. (Mru Notes: not possible to memorise these 5 in real life, but since they've asked I am preparing the model answer)
- it can be used for assessing the fiscal performance in following ways

| Indicator | Assessment of State govt |
|---|---|
| **Quality of expenditure (व्यय की गुणवत्ता)** | • Whether funds are being spent on capital asset infrastructure creation, or for populist subsidies/ revdi culture/ electoral freebies and farm debt waiver. |
| **Revenue mobilisation (राजस्व जुटाना)** | • Urban property tax collection remains low in India compared to the USA. Because State Local municipalities do not want to aggravate the voters.<br>• The Constitution allows the states to impose tax on agricultural income, but most states don't do it due to farmer pressure groups. So using an index, we can monitor which states are taking serious steps to improve their revenue from such taxes.<br>• Most of the state PSUs remain in debt. Very few perform exceptionally well in the SENSEX e.g. Gujarat Mineral Development Corporation (GMDC) share price rose to 55.23% in 2025. |
| **Debt sustainability (कर्ज़ की वहनीयता)** | • Whether the loans are taken for infrastructure creation or for paying off previous loans or financing populist schemes/revdi. Eg. Critiques remain very sceptical about the financial sustainability of the Maharashtra government with regards to Ladki Bahin ₹1500 DBT scheme for women and Punjab for its electricity subsidy. |
| **Fiscal prudence (राजकोषीय विवेक)** | • Has the State taken any steps to control the expenditure e.g. J&K hiring freeze, ban purchase of new Govt vehicles and AC etc.; W.Bengal's stricter approval process for IAS/ministers' foreign trips etc.; Guj-Bihar etc recruiting contractual/ad-hoc teachers instead of permanent teachers with higher salary. |

### 28.6.2 Body2: How FIH can help states for sustainable fiscal policies?

- A 360° analysis through five indicator matrices helps the State Government identify areas for improvement by comparing its performance with other states. (एक बृहद/ सर्वांगी पृथक्करण। मिलता है अन्य राज्यों की तुलना हो सकती है। स्पर्धा की भावना बढ़ती है।)
- While the CAG audits the financial situation of all state governments, its data sets and rankings are not easily accessible because some states do not even table them in the Vidhan Sabha for many months. Making CAG reports a 'post-mortem' report, rather than a preventive and diagnosis report. (CAG का ऑडिट रिपोर्ट भी आता है लेकिन वह पोस्टमॉर्टम का काम करता है। नीति आयोग का यह सूचकांक एक निवारक और निदान रिपोर्ट है, जो रोग-शमन में मदद करता है।)

- NITI reports, on the other hand, are instantly available on its website.
- Thus, NITI rankings increase the awareness of voters, media, and opposition parties, keeping state government ministers and bureaucrats accountable. (मतदाता पत्रकार विपक्ष के समक्ष राज्य सरकार के मंत्री और अफ़सरों की जवाब देही बनाता है।)
- These reports can also be utilized by the World Bank, MDBs, G-Sec investors, and rating agencies, making it more difficult for reckless states to obtain loans at affordable interest rates unless they fix their houses. (यह सूचकांक विदेशी संस्थाओं की नज़र में भी आता है तो जो राज्य अपनी वित्तीय स्थिति ठीक नहीं करेंगे तो विश्व बैंक आदि से उन्हें सरल शर्तों पर कर्ज़ नहीं मिलेंगे।)

### 28.6.3 ✍️ Conclusion: Good step by NITI link with SDG-16

- SDG Goal 16: build effective, accountable and inclusive institutions at all levels. (एसडीजी लक्ष्य 16: सभी स्तरों पर प्रभावी, जवाबदेह और समावेशी संस्थाओं का निर्माण करना।)
- without financial accountability, its is not possible. (लेकिन यह लक्ष्य#16 बिना वित्तीय जवाब देही के असंभव है।)
- While CAG audits State Government, but there are delays in tabling it in vidhan sabha. So NITI has taken an appreciable step in preparing such index to improve round the year accountability of the States. (कई बार राज्य सरकारें CAG का ऑडिट रिपोर्ट भी विधानसभा में वक़्त पर नहीं रखती है इसलिए नीति आयोग का ऐसा अलग से सूचकांक जवाब देही को बढ़ाने का एक प्रशंसनीय क़दम है।)

### 28.6.4 🧐 Common mistakes / reflections

- It is a question from last year's current affairs. NITI released this report on 24th January 2025.
- Most serious aspirants will remember that NITI gave the worst rating to Punjab in this index. But that is only one-liner GK, good for ticking prelims MCQs. For mains, it is a tough question because we have to elaborate and drag it for 250 words. So you have to do padding of the answer by giving many examples and contrasting CAG audit vs NITI.

# 29 💼💉💵💵 COUNTERCYCLICAL POLICY (प्रतिचक्रीय राजकोषीय नीति)

**(Introduction: Origin)** Indian Kings used to build palaces, temples, mosques etc during famines to provide employment. Therefore, during an economic slowdown, the Govt must spend more ₹₹ to achieve a similar objective. (अकाल के दिनों में राजा महाराजा महल मंदिर और मस्जिद बनवाते, ताकि लोगों को रोजगार मिले. आर्थिक मंदी के समय में सरकार ने भी कुछ ऐसा ही करना चाहिए)

But, such increased expenditure results into increase in fiscal deficit. However, recent economic surveys have justified this using following arguments: < Refer to Prelims Handout for explanation>

1. Ricardian equivalence is not true for Modern India
2. Rating downgrade has not harmed our GDP growth or foreign investment in long run.
3. It'll help in crowding-in of the pvt investment.

### 29.1.1 💼💉💵💵 Countercyclical: Conclusion/Way forward? (निष्कर्ष)

✓ To revive Indian economy after Corona, Govt should pursue countercyclical fiscal policy, borrow more money for infrastructure development. (कोरोना महामारी के बाद भारतीय अर्थतंत्र को पुनर्जीवित करने के लिए प्रति चक्रीय राजकोषीय-नीति आवश्यक, विशेष रुप से बुनियादी अवसंरचना विकास हेतु भारत सरकार बेझिझक बड़ी मात्रा में रुण लेना चाहिए.)

- ✓ Once GDP growth improves ↑ ⟶ govt should pursue fiscal consolidation. (आर्थिक वृद्धि दर में बढ़ोतरी होने पर, राजकोषीय एकत्रीकरण शुरू किया जाए)
- ✓ Simultaneously, the Govt should also reform education, skill development. minimum-wages

  Then income & savings ↑ , Negative effects associated with Fiscal deficits will ⏬(More in Pillar4C & #6) (साथ ही साथ शिक्षा, कौशल विकास, न्यूनतम वेतन, इत्यादि में सुधार द्वारा आमदनी और बचत को बढ़ाया जाए तो अपने आप राजकोषीय खाध के नकारात्मक पहलुओं को हम कम कर पाएंगे)

### 29.2 💼👷🔨 Fiscal Deficit : NK Singh's 15TH Finance Commission

⇒ If the state government is undertaking reforms in the power sector (e.g. stopping power theft) ⟶ Union should allow it to borrow extra money. (बिजलिया/ऊर्जा क्षेत्र में सुधार करने वाली राज्य सरकारों को केंद्र सरकार अतिरिक्त पैसा कर्ज लेने की अनुमति दें)

⇒ Evaluation of government schemes ⟶ Focus on outcome of the scheme ⟶ Department should be asked to justify why the scheme should be continued if annually it is unable to deliver "X" outcomes. (सरकारी योजनाओं की समीक्षा करवाई जाए, यदि निर्धारित लक्ष्य हासिल नहीं हो रहे तो विभागों से जवाब तलब किया जाए कि क्यों इस योजना को रद्द ना किया जाए?)

⇒ Union Government should set up a **High-powered Inter-governmental Group/committee** (उच्चस्तरीय अंतर-सरकारी समूह / समिति को बनाया जाए)

- to recommend reforms in FRBM Acts of Union and State governments.कानून में सुधार के लिए
- to Monitor the implementation of Reform the FRBM Act. कानून के अनुपालन की निगरानी के लिए
- to Monitor the implementation of 15 finance commission recommendations. 15 वे वित्त आयोग की सिफारिशों के अमल की निगरानी के लिए

⇒ State Govts should form **Public Debt Management Cells** to plan their borrowing programme efficiently. (राज्य सरकार अपने कर्ज़ों का प्रभावी रूप से आयोजन करने के लिए एक सार्वजनिक ऋण प्रबंधन सेल नामक इकाइयों को स्थापित करें)

⇒ If a state govt does not set up a **State Finance Commission** by March 2024 then the union government should stop giving it grants afterwards. (राज्य वित्त आयोग की स्थापना न करने वाले राज्य सरकारों का अनुदान बंद किया जाए)

⇒ Union and State governments should avoid any extra budgetary resources/off-budget borrowing. (केंद्र और राज्य सरकार बजेतेटर संसाधनों के उपयोग से बचें)

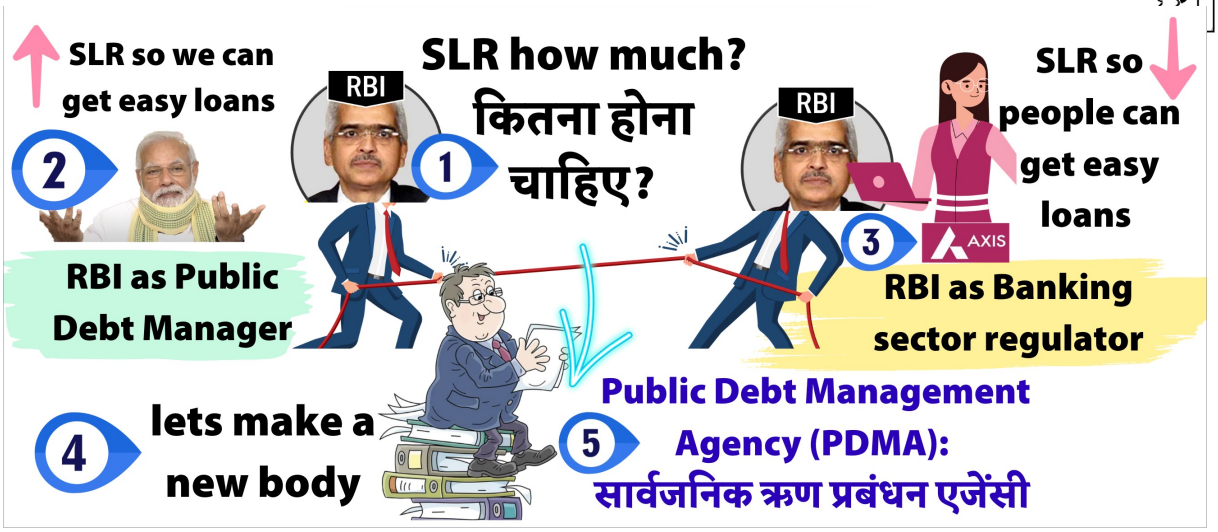
⇒ Cess and surcharge amount to nearly 18% of the gross tax revenue of the union government. FC can't allot cess-surcharge amount to State governments. Need to rationalize this. (केंद्र सरकार को विभिन्न करो से जो कुल/सकल आमदनी होती है उसका 18% तो उपकर और अधिभार से ही आता है जिसमें राज्य सरकारों को वित्त आयोग हिस्सा नहीं दे सकता, इस पर थोड़ा नियंत्रण किया जाए.)

## 30 💼👷🔨 Fiscal Responsibility: Misc Bodies

### 30.1 💼👷 Public Debt Management Agency (PDMA): सार्वजनिक ऋण प्रबंधन एजेंसी

⇒ RBI decides repo rate & also undertakes open market operation for buying and selling of G-sec.

⇒ Most of the G-sec are purchased by public sector banks, insurance and pension funds.




⇒ As Banking-regulator, the Reserve Bank can prescribe Statutory Liquidity Ratio (SLR) → which requires banks to keep a portion of their deposits in liquid assets like cash, gold, G-sec and other securities approved by RBI. (Ref: Pillar#1A2: monetary policy)

⇒ So, this creates a **'conflict of interest'** for RBI in its role as (1) Banking regulator vs (2) Public Debt manager. (हितो का आपस मे टकराव- वो एक तरफ़ सरकार की मदद के लिए रिज़र्व बैंक ने SLR बनाना चाहिए जबकि बैंकों की मदद करने के लिए रिज़र्व बैंक ने उसे कम करना चाहिए.)

⇒ **Budget-2015** proposed creating an independence Public Debt Management Agency (PDMA) to takeover these functions of RBI. (सार्वजनिक ऋण प्रबंधन एजेंसी)

⇒ But later plan was put on a back burner due to RBI's objections. (हालाँकि रिज़र्व बैंक को ख़ुद ही नई एजेंसी बनवाने से एतराज़ है, इसलिए नई एजेंसी बनाने का प्रस्ताव/मामला आगे नहीं बढ़ा.)

⇒ 2019: NITI Aayog Vice Chairman Rajiv Kumar again reiterated the need to setup PDMA. But, afterwards, not much in news limelight. #थोड़ा-पढ़ो-आगे-बढ़ो

## 30.2 Fiscal Council (राजकोषीय परिषद)

⇒ (Origin) **Fiscal Council** is an independent authority, usually setup by a law, to supervises the fiscal policy in the country. (राजकोषीय नीति की निगरानी हेतु एक स्वतंत्र संस्था)

⇒ e.g. Sweden, Hungary, & some other western countries. Its functions include:

- ✓ Monitoring Govt's Receipt, Expenditure, Annual Budget.
- ✓ Ensure that Govt's borrowing remains within the legally permitted limits.
- ✓ Recommend fiscal stimulus and fiscal prudence measures depending on the economic situation of the country. (समय समय की जरूरत के हिसाब से वित्तीय प्रोत्साहन और मितव्ययिता के उपाय देना)

### 30.2.1 Fiscal Council: Why do we need it in India?

Budgeting process in India suffers from following lacunas. (वर्तमान प्रणाली में खामिया)

⇒ Overestimation of tax receipts, Creative accounting and data dressing in the budget. (आंकड़ों को बढ़ा चढ़ा कर/ मरहम पट्टी लगाकर दिखाना)

⇒ If not revenue targets not achieved then

- Extra Budgetary Resources (बजेटेतर संसाधन)

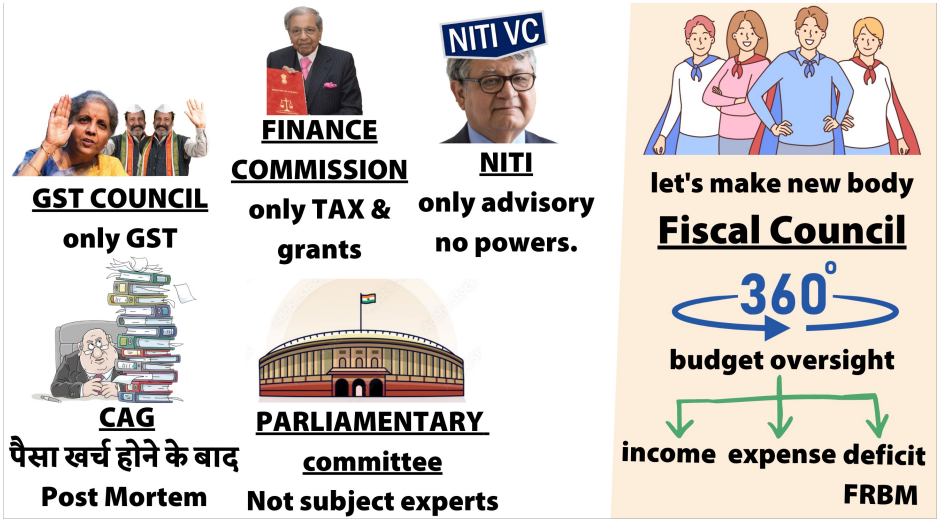
- Fiscal repression of the households via LIC. (वित्तीय दमन)
- Frequent changes in the FRBM goalposts. (लक्ष्य बदल देना)

⇒ Engaging Practices against the spirit of **cooperative federalism** (सहकारी संघवाद):

- Imposition of cess/surcharge on Union taxes, to avoid FC devolution.
- Union irregularly releasing GST & Finance Commission Devolution/grants to State governments. (अनियमित रूप से पैसा राज्यों को देना)

⇒ India's sovereign credit rating also ⏬ because of such mismanagement.

Therefore, NK Singh's FRBM Review Panel (2017) and successive Finance Commissions have recommended setting up such an Independent Fiscal Council in India. because:




| 😰 Existing Mechanism (वर्तमान स्थिति /व्यवस्था /प्रणाली) | 🤩Whereas Fiscal Council |
|---|---|
| Parliamentary Committees such as Public Accounts, Estimates Committee etc. are made up of Members of Parliament, who may not have the technical expertise over economics and public finance. (संसद की लोक लेखा समिति, प्राक्कलन समिति ) | technical experts (तकनीकी विशेषज्ञ होंगे) |
| Comptroller and Auditor General (CAG) will audit the government Expenditure after the spending has taken place. (नियंत्रक और महालेखा परीक्षक- खर्च हों जाने के बाद वो जांच करता है) | continuously strive to keep the fiscal deficit under control. (अविरल निगरानी) |
| Finance commission: Constituted every 5 yrs, stops functioning after submitting report. Until new body setup. | will function continuously round the year. |

### 30.2.2 💼👐🔨👷 Fiscal Council: conclusion YES we NEED it for INDIA

Considering the aforementioned issues, need of the hour is to set up an independent fiscal council, **(स्वतंत्र राजकोषीय परिषद की स्थापना वर्तमान समय की जरूरतों के हिसाब से अति आवश्यक है)**

⇒ To make the Public Finance Management in India more prudent, transparent, accountable and efficient. (सार्वजनिक वित्तीय प्रबंधन को विवेकपूर्ण, पारदर्शी, जवाबदेह और कुशल।)

⇒ To achieve UN SDG Goal #16: Develop effective, accountable and transparent institutions at all levels of governance. (सतत विकास लक्ष्य: शासन के हर एक स्तर पर जवाबदेही संस्थानों का निर्माण)

# 31 BUDGETING REFORMS (बजट बनाने की प्रक्रिया में सुधार)

The process of making a budget, is called "Budgeting". Following reforms have been taken

- 2005: Gender Budget document presented along with the budget. (लिंग बजट अलग से प्रस्तुत।)
- 2017: Budget is tabled/presented on first working day February, to obviate the need of demanding Vote on Account. (फ़रवरी के पहले दिन ही बजट पेश कर देंगे ताकि वोट ऑन अकाउंट की ज़रूरत नहीं)
- 2017: Rail budget and General budget has been merged (रेल बजट को सामान्य बजट में विलीन किया)
- 2017: Plan versus non-plan expenditure bifurcation has been abolished. (योजना ख़र्च बनाम ग़ैर योजना ख़र्च की प्रणाली को बंद किया।)
- Majority of the schemes / subsidies come with sunset clause / expiry date. (ज़्यादातर सरकारी योजनाओं में सूर्यास्त तिथि- यानी की ये तारीख़ से योजना अपने आप बंद हो जाएगी।)
- Restructuring / reducing of the central sponsored schemes. (केंद्र सरकार द्वारा प्रायोजित योजनाओं का पुनर्गठन, उन योजनाओ की संख्या में कटौती के प्रयास ।)
- 2017: OUTPUT OUTCOME FRAMEWORK FOR SCHEMES with help of NITI Aayog.
- 2023: Result Based Financing instead of input based financing. (Ref Prelims Pill2D)

### 31.1.1 Gender Budget (लैंगिक बजट)

Refer to pillar6 Mains HDT for woman empowerment angle of Gender Budget.

## 31.2 MOCK QUESTIONS FOR UPSC MAINS

1) (PYQ-PubAd) The main problem of Centre-State relations in India is bottlenecks in fiscal federalism. Comment.. (भारत में केंद्र-राज्य संबंधों की मुख्य समस्या राजकोषीय संघवाद में अड़चन है।)
2) (PYQ-Econ-Opt) Discuss the desirability of increased public expenditure in India in recent years. (हाल के वर्षों में भारत में बढ़े हुए सार्वजनिक व्यय की वांछनीयता पर चर्चा करें।)
3) (PYQ-Econ-Opt) What are the various methods of privatisation? Point out the methods adopted by the government for disinvestment in India. Comment on the proceeds from disinvestment in India. (निजीकरण के विभिन्न तरीके क्या हैं? भारत में विनिवेश के लिए सरकार द्वारा अपनाई गई तरीकों को इंगित करें। भारत में विनिवेश से आय पर टिप्पणी।). **Hint**- methods are given in Prelim handout 2D e.g. OFS, IPO, ETF etc.
4) (PYQ-Econ-Opt) Point out the main features of Fiscal Responsibility and Budget Management (FRBM) Act. To what extent, it has been successful in achieving the targets ? (राजकोषीय जिम्मेदारी और बजट प्रबंधन (FRBM) अधिनियम की मुख्य विशेषताओं को इंगित करें। किस हद तक, यह लक्ष्यों को प्राप्त करने में सफल रहा है?)
5) (PYQ-GSM3-2021) Distinguish between capital budget and revenue budget. Explain the components of both these Budgets. (पूँजी बजट तथा राजस्व बजट के मध्य अन्तर स्पष्ट कीजिए। इनके संघटकों को समझाइए।) ( Refer to Prelims HDT)
6) **(PYQ-GSM3-2013)** What are the reasons for introduction of Fiscal responsibility and Budget Management (FRBM) act, 2003? Discuss critically its salient features and their effectiveness. FRBM) अधिनियम, 2003 को लागु करने का क्या कारण है? इसकी प्रमुख विशेषताओं और उनकी प्रभावशीलता पर गंभीर रूप से चर्चा करें. ( Ref Prelims HDT)
7) **(PYQ-GSM3-2016)** Discuss the requirements and status of gender budgeting in the Indian context? भारतीय संदर्भ में लिंग बजट की आवश्यकताएं और स्थिति चर्चा कीजिए. ( Refer to Pillar6-HRD)

8) **(PYQ-GSM3-2019)** public expenditure management is a challenge to the govt of India in the context of budget-making during the post-liberalization period. Clarify it. (उत्तर-उदारीकरण अवधि के दौरान, बजट निर्माण के संदर्भ में, लोक व्यय प्रबंधन भारत सरकार के समक्ष एक चुनौती है | इसको स्पष्ट कीजिए)
9) **(PYQ-GSM3-2023)** Explain the significance of the 101st Constitutional Amendment Act. To what extent does it reflect the accommodative spirit of federalism? (101 वें संविधान संशोधन अधिनियम का महत्व समझाइए । यह किस हद तक संघवाद के समावेशी भावना को दर्शाता है ?).
10) **(PYQ-Econ-Opt'24)** "Distinguish between fiscal federalism, fiscal consolidation and cooperative federalism. Comment on the outcome of cooperative federalism in India. (राजकोषीय संघवाद, राजकोषीय समेकन तथा सहकारी संघवाद में भेद कीजिए। भारत में सहकारी संघवाद की उपलब्धियों पर टिप्पणी कीजिए।) Hint: ref prelims HDT for fiscal consolidation.
11) **GSM2-2025-Q14:** Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India? भारत में नियोजित विकास के संदर्भ में केन्द्र-राज्य वित्तीय संबंधों के विकसित हो रहे स्वरूप (पैटर्न) का परीक्षण कीजिए। हाल के सुधारों ने भारत में राजकोषीय संघवाद को कितना प्रभावित किया है? (250 words)
12) **GSM3-2025-Q11:** Explain how the Fiscal Health Index (FHI) can be used as a tool for assessing the fiscal performance of states in India. In what way would it encourage the states to adopt prudent and sustainable fiscal policies? समझाइए कि किस प्रकार राजकोषीय स्वास्थ्य सूचकांक (एफ एच आई) भारत में राज्यों के राजकोषीय प्रदर्शन के आकलन के उपकरण के रूप में प्रयोग किया जा सकता है। किस प्रकार यह राज्यों को विवेकपूर्ण तथा संपोषणीय राजकोषीय नीतियों को अपनाने के लिए प्रोत्साहित करेगा ? (250 words)
13) GSM2-2026-Q12: Examine whether the constitutional mandate of rights-based welfare can be effectively realised amid non-integrated governance and minimal public investment.
14) Examine critically the apprehensions surrounding the issue of Union Government's external borrowing in external currency. केंद्र सरकार के विदेशी ऋण को विदेशी मुद्रा में जुटाने के मसले के साथ जुडी आशंकाओं की समीक्षा कीजिए. ( 💡 Refer to Prelims Handout)
15) Examine the need of setting up an independent fiscal council in India. (एक स्वतंत्र राजकोषीय परिषद स्थापित करने की आवश्यकता पर समीक्षा करें)
16) Discuss the need and significance of Countercyclical Fiscal Policy for reviving India's growth in the aftermath of coronavirus, And examine critically the potential apprehensions about the same.
17) Resource mobilization for public finance is fraught with challenges in India. Comment (भारत में सार्वजनिक वित्त के लिए संसाधन जुटाना चुनौतियों से भरा है)
18) Examine the concerns surrounding freebie-culture with respect to fiscal health of India. (भारत के राजकोषीय स्वास्थ्य के संबंध में मुफ्तखोरी-संस्कृति से जुड़ी चिंताओं का परीक्षण करें।)
19) The Union's control over state borrowing limits has introduced new tensions in fiscal federalism in recent years. Comment.(हाल के वर्षों में राज्य की उधार सीमा पर संघ के नियंत्रण ने राजकोषीय संघवाद में नए तनाव पैदा किए हैं। टिप्पणी करें। )
20) Examine critically the demands raised by some Indian states for granting special category status in recent years. (हाल के वर्षों में भारत के कुछ राज्यों द्वारा विशेष श्रेणी दर्जे की मांग की आलोचनात्मक जांच करें।)

**Next Handout**: Pillar3- balance of payment, international trade/ agreements